

यूनियन बैंक ऑफ इंडिया **Union Bank of India**
 भारत सरकार का उपक्रम (MLP Secunderabad) A Government of India Undertaking

Agenda Item No	01
MLCC-I Meeting No	24
Date	06.07.2024


 CHAIRMAN MLCC-I

Executive Summary Format for Credit proposal of Rs.5.00 crore and above

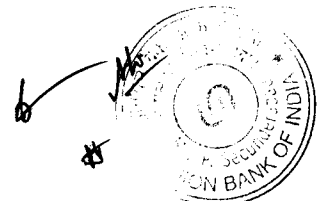
Reference: MLP /SEC/MLCC1/82/2024-25

Date:05.07.2024

प्रबंधन समिति/ऋण अनुमोदन समिती को प्रस्तुत ज्ञापन MEMORANDUM TO MLCC-1
A/C WITH: GAGAN MAHAL ROAD BRANCH SECUNDERABAD REGION HYDERABAD ZONE

Nature of Proposal: Renewal

1.1	Name of the Account	:	M/s ARHYAMA SOLAR POWER PRIVATE LIMITED CIF: 38019925 CC: 013913100000159 TL :013930100014037 TL: 013930100014295 TL:013930100023716
1.1.1	ADDRESS - Registered/ Administrative Office Unit / Works	:	Factory Address: Sy No 987,1101,1102 Kolanupaka Village Aler Mandal Yadadri District Telangana.(own) Registered Office: #1-8-31 to 41 3 rd floor Kapadia Towers Lane Opp to ICICI Bank Bapubagh Colony Penderghast Road Secunderabad 500003. (Rented)
1.2	Line of activity	:	Solar Power Generation and distribution 45105-Genertation and Distribution of Solar energy and other non-conventional Sources (wind mills) etc.,
1.3	Group	:	No Specific group One Group Concern Gigawatt solar private Limited is availing CC limit of Rs 150.00 lacs with our Gagan Mahal Road Branch.
1.4	Date of Incorporation	:	27.09.2012
1.5.1	Constitution	:	Private Limited Company
1.5.2	Dealing with our Bank since	:	2012
1.6	Credit facility from our Bank since	:	2012
1.7	If the A/c is New, name of present bankers	:	NA, Existing borrower
1.8	Date of Term Sheet / PIM approval	:	Not applicable`
1.9	Banking Arrangement& Our Share	:	TL1 & TL2: Consortium Banking Union Bank of India: 74.26% Karur Vysya Bank: 25.74% TL3: Sole Banking With our Bank CC: Sole Banking With our Bank



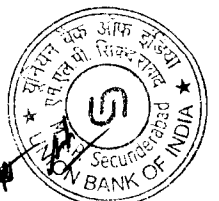
2.1 Purpose of the Note:

1. Renewal of CC limit at existing level of Rs 100.00 lakhs under non schematic guidelines.
2. Review of TL1 at outstanding level of Rs 83.76 lakhs, with Nil overdue.
3. Review of TL2 at outstanding level of Rs 190.65 lakhs, with Nil overdue.
4. Review of TL3 at outstanding level of Rs 162.30 lakhs, with Nil overdue.
5. Ratification of branch action on :
 - a. Renewal of CC limit on 14.06.2024 for a period of 1year
 - b. Review of TL1, TL2 & TL3 on 15.06.2024 for a period of 3 months.
6. Release of five collateral securities out of existing nine with dilution in collateral coverage ratio.
 - a. Residential Building in G+2 ,bearing HNO.11-27-2-A-2(Old),11-27-86(old),11-27-52/2(New), 1st Bank Colony, Kothawada, Warangal City. Warangal dist owned by Mr. Sri Rammurthy Nakrikanti.
 - b. Residential bldg in G+2, extent 402.38 Sq yds, bearing HNO.11-27-2-A-2(Old),11-27-86(old),11-27-53&54(New),1st Bank Colony, Kothawada, Warangal City. Warangal dist owned by Mr. Namburi Vishweshwara Rao and Mrs. Charumathi Namboori.
 - c. House property (G+2) with a plinth area of 1756 sft bearing No.669, 8th A main road, 2nd cross, 3rd stage, in Block III, Near Panacea Hospital in plot measuring 1650 sq.ft at Basaveshwar Nagar, Bangalore owned by Ms. N Laxmi Shyama Sundari.
 - d. Residential land & Building admeasuring 266 sq. Yards on Plot No.165 in survey no.74/12 or part of GLR no.396 situated at TriMoorthy Weaker Section Co-op Housing society situated at East Marredpally, Cantonment ,Secunderabad, owned by Mr, Ananth Nakrikanti.
 - e. The commercial open site admeasuring 776.84 sq. yards located at Sy. No. 152, 154, 155,156/1, 157 158, 159 & 288/1 Plot No. 8. Adj. To By-ass Road, opp. BSNL Office, near Hanuman Temple & Veterinary Hospital and fly over bridge beside door No. 10-6-186/5 Burhanpuram Area of Khammam Municipal Corporation Limits, Khammam, already held with our BSC Complex Khammam branch for the credit limits of M/s Sai Sri Perumalla Filling Station.(Limit of Rs.0.10 crores closed on 25.06.18) Owned by Mrs. Perumalla Srilatha.

(Miscellaneous Request -Release of Property will be submitted to RLCC I separately).

Collateral Coverage:247.50%/ 166.46%
(Existing / Proposed)

Means of Guarantors:9911.81lakh/15552.57lakh
TNW of Corporate Guarantors: nil



2.2 Credit Facilities, in brief

(Rs. In Lacs)

Nature of Limit (Our Bank)	Existing Limit	O/S as of Date <u>30.06.2024</u>	Overdues, if any	Proposed Limit	Tenor	Interest/Commission [With reference to EBLR]				Margin	
						Applicable	Existing rate	Prop. Rate	Concession	Exist.	Prop
FB											
- TL 1	112.90	83.76	0.00	83.76	**	EBLR+3.25%+0.50%-0.25%	EBLR+3.25%+0.50%-0.25%	EBLR+2.00%+0.10%-0.50%	NIL	73.78 % on civil Works & 25% on P&M	
- TL 2	254.20	190.65	0.00	190.65	**						
- TL 3	216.40	162.30	0.00	162.30	**					25% on P&M	
- CC(H)	100.00	100.00	0.00	100.00	12 months	EBLR+3.25%-0.25%	EBLR+3.25%-0.25%	EBLR+2.00%-0.50%	NIL	25% on receivables not older than 90 days	
Total Credit Exposure (Our Bank)	683.50	536.71	0.00	536.71							
Other Banks/FI's											
Karur Vysya Bank	195.26	95.10	0.00	95.10							
Total Exposure (Our Bank)	878.76	631.81	--	631.81							

Rate of interest:

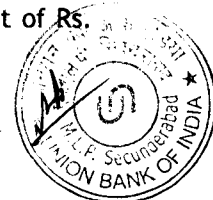
- As per IC No 4329-2023 dated 16.09.2023 the ROI for UCR-3 rated accounts for MSME's is as per master table-C for advances above Rs 5.00 Crore up to Rs.25.00 Crores is EBLR (9.25%)+2.00%
- As per table -D Additional risk premium for Term loans greater then 1year and up to 3years is 0.10%
- As per table -E Concession in collateral coverage 150% and above is 0.50%, hence net interest on Cash credit limit is EBLR (9.25%)+2.00%*(Spread) - 0.50% (concession)= 10.75%
Term loans is EBLR (9.25%)+2.00%*(Spread) +0.10% (risk premium)- 0.50% (concession)= 10.85%

Note: interest rate is subject to finalization of interim rating of CR3, if any changes in rating applicable interest rate is to charged.

Brief about the proposal:

- M/s Arhyama Solar Power Private Limited (ASPPL) is a company incorporated on 27.09.2012 with an objective of setting up a unit to generate solar power. The project was setup with a capacity of 6MW(AC) with an investment of Rs 51.68 crores in fixed assets and further increased to 6.75 MW(AC) in FY 2016-17. The project was set up in village Kolanpak, Mandal Aleir and District Bhongir in Telangana state. The total land area required for the project is about 30 acres. The company commenced its operations during 2013-14 and the company is selling power to private companies.
- The company has entered into long term power purchase agreement with Dr. Reddy's Laboratories Limited (DRL) in April 2015 for a period of 20 years with at tariff of Rs.5.35 per KWh (unit) with escalation clause of increase in tariff of 2% year on year.
- The company has also executed line works and liasoning works for M/s. Golden Shelters Private Limited and M/s. Varp Power Private Limited, among others. ASPPL is promoted by Mr. N Ananth and family members. The company has used poly-crystalline technology for its operations.
- The company has been availing the credit facilities with our Gaganmahal Branch since 2012. Initially firm was sanctioned TL -I of Rs. 7.09 crs, TL-II of Rs. 11.90 crs sanctioned in March 2013 in consortium with Karur Vysya Bank Ltd. & TL - III of Rs. 3.90 crs and CC limit of Rs. 1.00 crore in Aug 2016 exclusively by our bank.

✓



- The company has not availed RBI moratorium during March 2020 to August 2020. The company was also sanctioned with UGECL limit of Rs. 3.16 crs vide RO Hyd -1 letter no. 688/52/S-79 dated 24.06.2020, however the company has not availed the same.
- Later Borrower was approved restructuring of existing TLs under Resolution Frameworks 2.0 for MSME advances up to Rs 25.00 Cr, Covid -19 related stress vide RLCC Note RO/KOTI/HYD//AT//255/2021-22 dated 27.07.2021 in the RLCC 1 meeting dated 27.07.2021, meeting No :31 agenda NO:01 approved the following
- Renewal of CC limits of Rs 100.00 lacs at existing level
 - Restructuring of all three Term loans.
 - **Release of Two properties**
One in the names of Ms. N Laxmi Shyam, Sundari, Namburi Vishweshwara Rao, Adepu Dileep Kumar and Mrs. Yada Aruna and the other property in the name of Mr. Srinivas Rao Perumalla.
 - Delinking of property in the name of Mr. Mukka Natrayana , Mukka Virupaksha Linngam , Mukka Jitender Gupta and Mukka Ashok Kumar (Extended property).
- During the last renewal, SLCC I vide its reference : MLPHK:SY:2022-23:940:358 dated 31.03.2023 approved the following:
- Renewal of CC Limits at existing level of Rs 100.00 lacs.
 - Review of TL at Outstanding level of Rs 112.90 lacs with Nil Overdue.
 - Review of TL at Outstanding level of Rs 254.20 lacs with Nil Overdue.
 - Review of TL at Outstanding level of Rs 216.40 lacs with Nil Overdue.
 - Ratification of branch action for review of limits on 21.01.2023 for a period of 3 months
 - Release of personal guarantee of Mr. Mukka Narayana, Mukka Virupaksha Lingam, Mr. Mukka Jithender Gupta, Mr. Mukka Ashok Kumar and Mr. Adepu Dileep Kumar (Owners of collateral securities already released by RLCC 1 on 16.05.2022)
- **Present Request:**
As per Branch recommendations vide letter no 0139/2024 dt 15.06.2024
1. Renewal of CC limit at existing level of Rs 100.00 lakhs.
 2. Review of TL1 at outstanding level of Rs 83.76 lakhs, with Nil overdue.
 3. Review of TL2 at outstanding level of Rs 190.65 lakhs, with Nil overdue.
 4. Review of TL3 at outstanding level of Rs 162.30 lakhs, with Nil overdue.
 5. Ratification of branch action on :
 - a. Renewal of CC limit on 14.06.2024 for a period of 1year
 - b. Review of TL1, TL2 & TL3 on 15.06.2024 for a period of 3 months.
 6. Release of five properties as mentioned below:
 - a. Residential Building in G+2 ,bearing HNO.11-27-2-A-2(Old),11-27-86(old),11-27-52/2(New), 1st Bank Colony, Kothawada, Warangal City. Warangal dist owned by Mr. Sri Rammurthy Nakrikanti.
 - b. Residential bldg in G+2, extent 402.38 Sq yds, bearing HNO.11-27-2-A-2(Old),11-27-86(old),11-27-53&54(New),1st Bank Colony, Kothawada, Warangal City. Warangal dist owned by Mr. Namburi Vishweshwara Rao and Mrs. Charumathi Namboori.
 - c. House property (G+2) with a plinth area of 1756 sft bearing No.669, 8th A main road, 2nd cross, 3rd stage, in Block III, Near Panacea Hospital in plot measuring 1650 sq.ft at Basaveshwar Nagar, Bangalore owned by Ms. N Laxmi Shyama Sundari.
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 - e. The commercial open site admeasuring 776.84 sq. yards located at Sy. No. 152, 154, 155,156/1, 157 158, 159 & 288/1 Plot No. 8. Adj. To By-ass Road, opp. BSNL Office, near Hanuman Temple & Veterinary Hospital and fly over bridge beside door No. 10-6-186/5 Burhanpuram Area of Khammam Municipal Corporation Limits, Khammam, already held with our BSC Complex Khammam branch for the credit limits of M/s Sai Sri Perumalla Filling Station.(Limit of Rs.0.10 crores closed on 25.06.18) Owned by Mrs. Perumalla Srilatha.



2.2.1 Details of present MCLR / EBLR -

Nature of the Facility	Present MCLR / EBLR	Applicable since (IC No.)	Reset date
CC Limits & Term Loans	9.25%	11.06.2024 as per IC:06733-2024 dated 10.06.2024	As per ALCO

2.2.2 EXPOSURE DETAILS FROM BANKING SYSTEM (BANKS/FIs) INCLUDING INVESTMENT (Incl. our Bank):

a. Sharing pattern under Multiple / Consortium arrangement for WC (Rs. In Lacs)

Bank	Existing				Proposed			
	FB	NFB	Total	%	FB	NFB	Total	%
UBI	100	--	100	100%	100	--	100	100%
Total	100	--	100	100%	100	--	100	100%

b. Sharing pattern for Term Borrowings:

Sl. No.	Bank / Financial Institutions	Limit	Outstanding as on (30.06.2024)	%
1.	Union Bank of India	112.90	83.76	84.04
		254.20	190.65	
		216.40	162.30	
	Total	583.50	436.71	
2.	Karur Vysya Bank	195.26	95.10	15.96
	Total			100.00

c. Sharing pattern for Other Exposures:

Sl. No.	Bank / Financial Institutions	Limit	Outstanding as on (dd/mm/yyyy)	%
1.	NIL			
2.				
3.				
	Total			100.00

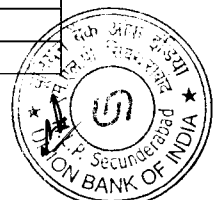
2.3 Delegated authority: In terms of IC no. 4544-2024 dated: 12.01.2024, the proposal falls within the delegated authority of MLCC-1 on account of party exposure of Rs. 536.71 lakh and group exposure of Rs.686.71 lakh

Purpose of the proposal includes release of property as per borrower request and branch recommendations. As per Loan policy 2024-25, in cases, where the release of collaterals with dilution, limits to be renewed and request for release to be submitted to next higher authority i.e. RLCC I.

Group Exposure:

(Rs in lakhs)

		Limit	Liability as on 30.06.2024	Exposure
Arhyama Solar Power private Limited	CC	100.00	99.27	100.00
	TL1	112.90	83.76	83.76
	TL2	254.20	190.65	190.65
	TL3	216.40	162.30	162.30
	Total	683.50	535.98	536.71
Gigawatt Solar Private limited	CC	150.00	136.00	150.00
	Total	150.00	136.00	150.00
	Grand Total	833.50	671.98	686.71



2.4.1	Date of sanction / Last review	:	Regular renewal : 31.03.2023 Branch Review: 14.06.2024		
2.4.2	Sanctioning Authority (Previous Sanction)	:	SLCC I (Mlp Koti) Branch		
2.4.3	Due date of review	:	Regular renewal: 30.03.2024 Branch Review: 14.06.2025		
2.4.4	Asset classification	:	Standard		
2.4.5	Status of Accounts/CRILC	:	As per CRILC report dated 25.06.2024, no bank has reported the account under SMA-2 as on 31.05.2024.		
2.4.6	Credit Rating	:			
Particulars		Previous year		Current year	
		Rating Date	ABS as of 2022	Rating Date	ABS as of 2023
Internal Rating		31.03.2023	UBC 3	05.07.2024	UBC3(interim)
Date of receipt of Audited Financials		31.03.2022		15.06.2024	
External Rating		Not applicable as proposed exposure is less than Rs.25.00Crores			
Name of External Rating Agency					
Facilities and amount rated.					
Whether the total facilities availed from Banks including our Bank is rated.					
CIBIL MSME Rank (along with rationale)		CMR 3	W-406132514 Dated 29.06.2024 <u>Exclusion Reason:</u> ACCE5G-Moderately stable liquidity usage AGTR1G- Credit relationship experience is of multiple business cycles UTIL4G-High liquidity available		

3. Background of Concern and its promoters / directors / proprietor / partners:

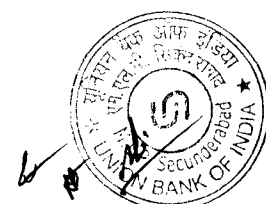
3.1. Background of the Company & Group Structure:

M/s Arhyama Solar Power Private Limited(ASPPL) is a company incorporated on 27.09.2012 with an objective of setting up a unit to generate solar power. The project was setup with a capacity of 6 MW (AC) with an investment of Rs.51.68 crores in fixed assets and further increased to 6.75 MW (AC) in FY 2016-17. The project was set up in village Kolanpak, mandal Aleir and district Bhongir in Telangana State. The total land area required for the project is about 30 acres.

The company commenced its operations during 2013-14 and the company is selling power to private companies.

The company has entered into long term power purchase agreement with Dr. Reddy's Laboratories Limited (DRL) in April 2015 for a period of 20 years with at tariff of Rs.5.35 per KWh (unit) with escalation clause of increase in tariff of 2% year on year.

The company has also executed line works and liasoning works for M/s. Golden Shelters Private Limited and M/s. Varp Power Private Limited, among others. ASPPL is promoted by Mr. N Ananth and family members. The company has used poly-crystalline technology for its operations.



3.2. Brief Credit History:

Fresh Sanction/Renewal/ enhancement(s)/ additional(s) in the limits during last three occasions:

Sl. No	Date of Sanction	Sanctioning Authority	Fund Based	Non-Fund Based	Total
01	31.03.2023	MLP Koti, SLCC1 renewal of CC & review of TL	683.50	0.00	683.50
02	27.07.2021	RO Koti , RLCC-1 renewal of CC & covid restructuring of TL	683.00	0.00	683.00
03	11.09.2020	RO Koti , RLCC-1 renewal of CC & review of TL	1178.00	0.00	1178.00

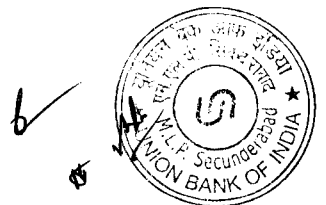
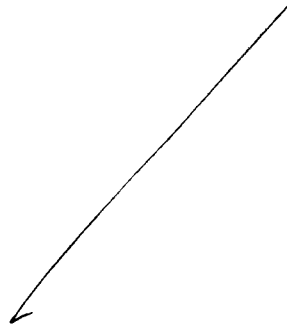
3.3. Compliance with NBG Terms: NIL

3.4 Names of Proprietors / Partners / Directors/ Guarantors:

Sr. No.	Name	Age	Relationship with key promoter, if any	Designation	PAN	DIN	Passport Details*			
							No.	Citizenship	Place of Issue	Valid upto
1	Ananth Nakirikanti	40	Son	Director	AEIPN3340Q	01761652		Not applicable , limit below Rs.50.00 Crore		
2	Srinivasa Rao Perumalla	62	Family friend	Director	ACJPP6199E	02143404				
3	Sreelatha Perumalla	58	Family friend	Director	AEWPP9850K	02592998				
4	Rammurthy Nakirikanti	66	Self	Managing Director	AANPN5200A	02651985				
5	Anil Perumalla	44	Family friend	Director	AIVPP8521C	06400241				
6	Sai Sidhartha Namburi	28	Family friend	Director	ATYPN4020E	09106813				

*For limits of Rs 50.00 crore and above

3.4.1	Whether director / partner / proprietor is a director in our / other bank Scheduled Co-Operative Bank/ subsidiaries/ trustees of mutual funds/venture capital funds or is related to them or is related to them. If yes -	:	No
	i) Name of such Director with name of the Bank	:	
	ii) Type of Relation	:	



3.5	Evaluation of Management	[Adverse market reports if any should be properly commented upon]
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3.5.1. Brief details of Promoters / Active Directors / Key Managerial Persons

Directors:

1. Mr. Rammurthy Nakirikanti (Managing Director) : Aged about 65 years is a business man having rich and varied experience of 36 years in the field of procurement and trading of Agri Commodities. He is Managing director of M/s Arhyama Solar Power Private Limited.

As per MCA search made , he is also Managing Director of following companies

M/s Dhakshitha Solvent Extractions Private Limited,M/s Margi Hotels and Resorts Private Limited, M/s Manikanta Green Homes Private Limited,M/s Arhyama Energy Private Limited, M/s Hari Teja Agro Industries Private Limited,M/s. Arhyama Power Projects Pvt Ltd

2. Mr. Ananth Nakirikanta:Aged about 40 years , holds bachelor of Engineering Degree in Mechanical Engineering from BITS Pilani Hyderabad and having varied experience of 12 years in power EPC industry. He is a Director in

M/s Arhyama Energy Private Limited,M/s Dhakshitha Solvent Extractions Private Limited

M/s Rapha Health (India)Private limited,M/s Machukonda Agrotech Private Limited

M/s. Arhyama Power Projects Pvt Ltd

3. Mr. Anil Perumalla: Aged about 44 years is a business man having 17 years of experience in retail Textile Binsuess. He is Director in M/s Arhyama Solar Power Private Limited and Arhyama Energy Private Limited.
4. Mr. Srinivasa Rao Perumalla: Aged about 62 years is a business man having 32 years of experience in Retail Textile business.He is director in M/s Arhyama Energy Private Limited, M/s Tergum REmidies Private Limited, M/s Tirumala Venkatachala Infratech Private Limited, M/s Se-cure Medical Services Private Limited
5. Mrs. Sreelatha Perumalla: Aged about 60 years is a medical doctor specialised in pathology having 33 years of experience and is a director M/s Quest Medical Services Pvt Limited, M/s. Arhyama energy Pvt ltd, M/s. Tirumala Balaji Infratech Pvt Ltd.
6. **Mr. Sai Sidhardha Namburi:** Aged about 28 years joined as director on 10.03.2021, Also director in M/s Dhakshitha Solvent Extractions private Limited ,

4.	Capital Structure	:	(Applicable for Companies) (Rs. In Lacs)
Authorised Capital	:	1400.00	
Issued & Subscribed Capital	:	900.00	
Paid Up Capital	:	900.00	
Book Value	:	Rs. 131.12 as per ABS 2023	
Market Price (NSE/BSE)	:	Na	
Market Capitalization	:	Na	



4.1	Shareholding Pattern / Partnership structure	:	
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Share Holders	Shareholder's Capital			Holding %	
	No. of Shares	Face Value	Capital	Current	Previous
				Date:31.03.2023	Date:31.03.2022
Mr. Ananth Nakrikanti	552000	5520000	NA	6.13	6.13
Mrs. Aruna Yada	1800000	18000000	NA	20.00	20.00
Mrs N Amulya	451000	4510000	NA	5.01	5.01
Mrs Jamuna Devi	676667	6766670	NA	7.52	7.52
Mr Nakrikanth Rammurthy	886001	8860010	NA	9.84	9.84
Mr. N Sai Siddhartha	796000	7960000	NA	8.84	8.84
TOTAL	5161688	51616880	NA	57.34	57.34

4.2 Any significant change in share holding pattern to be explained: nil

4.3 Quantum of shareholding pledged by promoters: nil

5.	Comments on the following:		
	5.1 Credit Report/s	:	(Concern/promoter/guarantor)

Firm:

M/s Arhyama Solar Power Private Limited: Branch has complied the credit report of the firm as on 31.03.2023 and report dated 17.05.2024 is submitted to MLP. As per the report provided, means is Rs.486.12 lacs.

Directors:

Mr. Rammurthy Nakrikanti: As per the credit report submitted by the branch dated 17.05.2024, means is of Rs 7595.20 lacs as on 03.02.2024. Means includes Assets -Shares, cash, investment, immovables assets of open plots, residential building, agricultural dry lands and net of liabilities.

Mr. Nakrikanti Ananth:As per the credit report submitted by the branch dated 17.05.2024, means is of Rs1682.37 lacs as on 17.05.2024. Means includes Assets -investment shares, vehicles, cash, investment in other business and immovable assets-residential sites, flats, share in open plot, house and net of liabilities.

Mr. Anil Perumalla: As per the credit report submitted by the branch dated 17.05.2024 means is of Rs 1060.16 lacs as on 16.05.2024. Means includes Assets -four wheeler, gold , capital investment, immovable properties and net of liabilities.

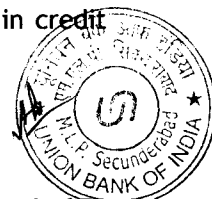
Mr. Srinivasa Rao Perumalla:As per the credit report submitted by the branch dated 17.05.2024 means is of Rs 1210.98 lacs as on 16.05.2024. Means included assets-capital investment and house and net of liabilities.

Mrs. Sreelatha Perumalla:As per the credit report submitted by the branch dated 17.05.2024, means is of Rs.1091.06 lacs as on 01.05.2024. Means includes Assets -capital investment & house and net of liabilities.

Mr. Sai sidhartha Namburi:As per the credit report submitted by the branch dated 17.05.2024, means is of Rs735.20 lacs as on 03.02.2024. Means includes Assets -shares, four wheeler, Cash, investment in others, immovable assets-house & Agri land and net of liabilities.

MLP Comments:

- Branch to ensure availability of substantiating documents in respect of means stated in credit report in terms of CP & MSME:917:2012



- Branch should ensure that while compiling credit report only unencumbered property value is to be considered for arriving at the means.

5.2 Search report/s : As mentioned below as per the search conducted on 28.06.2024

Particulars	M/s Arhyama Solar Power Private Limited	
CIN	U29253TG2012PTC083306	
DOI	27.09.2012	
AGM Date	30.09.2023	
Balance Sheet Date	31.03.2023	
Authorised Capital	Rs. 140000000/-	
Paid up Capital	Rs. 90000000/-	
Status	Active	
Listed/unlisted	Unlisted	
ROC	Open Charge Rs 431,600,000	
Charge Id	10423286	10423286
Created	06.07.2016	13.04.2013
Modified	--	07.07.2018
Charge Holder	UBI	UBI
Amount in Rs	49,000,000	382,600,000

DOI: Date of Incorporation ; BS Dt: Date of Balance Sheet; KMB: Kotak Mahindra Bank; KVB-Karur Vysya Bank; CFIP-L-Clix Finance India Pvt

5.3 Credit Information Company Report/s :

Firm: M/s Arhyama Solar Power Private Limited:

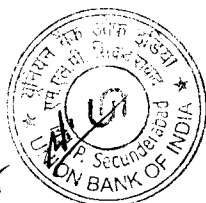
As per the commercial CIBIL report generated vide report order number W-406132514 dated 29.06.2024, MSME rank is CMR 3. As per the report generated, total of 6 open credit facilities are reflected of which 5 facilities are from our bank. Of 5 Credit facilities from our bank, Two are delinquent credit facilities with Outstanding od Rs 300.17 lacs.

Details of Loans availed are as mentioned below:

(Rs. In Lacs)

Sno	Name of facility	Availed from	Sanction Limit	Sanctioned Date	O/s	DP D	Last Report Date	Remarks
1	Demand loan 013930100014295	UBI	1190.00	05.07.2013	208.44	16	15.06.24	Overdue 17.79
2	Demand Loan 013930100014037	UBI	709.00	27.05.2013	91.73	16	15.06.24	Overdue 7.97
3	Demand Loan	KVB	510.77	17.08.2016	94.04	0	14.06.24	Covid restructur e
4	Demand Loan 013930100023716	UBI	390.00	23.08.2016	162.29	0	15.06.24	--
5	Cash credit 013913100000159	UBI	100.00	16.08.2016	100.00	0	15.06.24	--

MLP Observations: Company has cleared the all overdues on 30.06.2024 and as of now there is no overdues



Directors:

Mr. Rammurthy Nakrikanti:

As per the CIBIL report generated vide control number 007761314928 dated 29.06.2024, the CREDITVISION/PERSONNAL Score is 796/805. As per the report generated total of 9 accounts are report of which 6 accounts are with Zero balance and no accounts are in overdue.

Details of loans availed are as mentioned below: Rs. In Lacs

Sno.	Name of facility	Availed from	Sanction Limit	Outstanding	Capacity	DPD
1	Property Loan	Not Disclosed	235.89	213.83	Joint	0
2	Term Loan 013930100014295	UBI	1190.00	222.42	Joint	0
3	Term Loan 013930100014037	UBI	709.00	97.73	Joint	0

Two Term loans availed from Karur Vysya Bank under Consortium are not reflecting in the CIBIL report of the Directors-Mr. Rammurthy Nakrikanti, Mr. Nakrikanti Ananth. Branch to take up the matter with CIBIL authorities and ensure all loans availed in the capacity of borrower/guarantor should reflect in the individual CIBIL report.

Mr. Nakrikanti Ananth:

As per the CIBIL report generated vide control number 007761330605 dated 29.06.2024, the CREDITVISION/PERSONNAL Score is 806/843. As per the report generated total of 21 accounts are report of which 9 accounts are with Zero balance and no accounts are in overdue. High Cr/Sanc amount is Rs 2515.68 lacs and Current balance is Rs 780.01 lacs.

Details of loans availed are as mentioned below: Rs. In Lacs

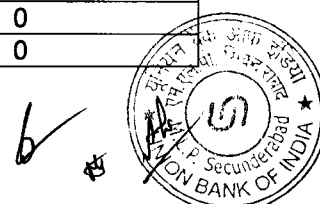
Sno.	Name of facility	Availed from	Sanction Limit	Outstanding	Capacity	DPD
1	Credit Card	Not Disclosed	20.19	9.34	Individual	0
2	Business Loan secured	Not Disclosed	174.83	167.46	Guarantor	
3	Two wheeler loan	UBI	1.25	0.71	Individual	0
4	Credit card	Not disclosed	1.40	0.93	Individual	0
5	Property Loan	Not Disclosed	235.89	213.83	Joint	0
6	Auto Loan (Personal)	UBI	20.90	9.26	Individual	0
7	Home loan	UBI	14.85	2.08	Joint	0
8	Home Loan	UBI	60.00	41.55	Joint	0
9	Home Loan	Not Disclosed	23.50	14.66	Guarantor	0
10	Term Loan 013930100014295	UBI	1190.00	222.42	Joint	0
11	Term Loan 013930100014037	UBI	709.00	97.72	Joint	0
12	Credit Card	Not Disclosed	0.19	(0.01)	Individual	0

Mr. Anil Perumalla:

As per the CIBIL report generated vide control number 007761338076 dated 29.06.2024, the CREDITVISION/PERSONNAL Score is 775/623. As per the report generated total of 19 accounts are report of which 12 accounts are with Zero balance and one account in overdue. High Cr/Sanc amount is Rs 786.128 lacs and Current balance is Rs 173.59 lacs.

Details of loans availed are as mentioned below: Rs. In Lacs

Sno.	Name of facility	Availed from	Sanction Limit	Outstanding	Capacity	DPD
1	Business Loan Gen	Not Disclosed	75.00	66.16	Guarantor	22/ 01-24
2	Gold Loan	Not Disclosed	68.00	68.63	Individual	0
3	Credit Card	Not Disclosed	5.00	5.17	Individual	0
4	Personal Loan	Not Disclosed	5.75	5.30	Individual	0



5	Auto loan Personal	Not Disclosed	25.07	19.39	Joint	0
6	Personal Loan	Not Disclosed	5.00	4.48	Individual	0
7	Credit card	Not Disclosed	4.98	4.44	Individual	0

Mr. Srinivasa Rao Perumalla:

As per the CIBIL report generated vide control number 007761346152 dated 29.06.2024, the CREDITVISION/PERSONNAL Score is 768/741. As per the report generated total of 21 accounts are report of which 14 accounts are with Zero balance and two accounts are in overdue. High Cr/Sanc amount is Rs 729.98 lacs and Current balance is Rs 199.12 lacs.

Details of loans availed are as mentioned below: Rs. In Lacs

Sno.	Name of facility	Availed from	Sanction Limit	Outstanding	Capacity	DPD
1	Business Loan Gen	Not Disclosed	75.00	66.16	Guarantor	22/ 01-24
2	Business loan Gen	Not Disclosed	25.00	17.95	Individual	007/04-24
3	Gold Loan	Not Disclosed	60.00	60.52	Individual	0
4	Used car loan	Not Disclosed	10.00	1.52	Joint	0
5	Auto Loan Personal	Not Disclosed	20.00	0.92	Joint	0
6	Business Loan	Not Disclosed	35.00	34.98	Guarantor	0
7	Business Loan Gen	Not Disclosed	50.00	17.02	Individual	0

Mrs. Sreelatha Perumalla:

As per the CIBIL report generated vide control number 007761355906 dated 29.06.2024, the CREDITVISION/PERSONNAL Score is 789/805. As per the report generated total of 6 accounts are report of which 5 accounts are with Zero balance and No accounts are in overdue. High Cr/Sanc amount is Rs 110.36 lacs and Current balance is Rs 1.47 lacs.

Details of loans availed are as mentioned below: Rs. In Lacs

Sno.	Name of facility	Availed from	Sanction Limit	Outstanding	Capacity	DPD
1	Auto Loan Personal	Not Disclosed	10.49	1.47	Individual	22/ 01-24

Mr. Sai Sidhartha Namburi:

As per the CIBIL report generated vide control number 007761364346 dated 29.06.2024, the CREDITVISION/PERSONNAL Score is 768/829. As per the report generated total of 10 accounts are report of which 3 accounts are with Zero balance and No accounts are in overdue. High Cr/Sanc amount is Rs 262.77 lacs and Current balance is Rs 227.70 lacs.

Details of loans availed are as mentioned below: Rs. In Lacs

Sno.	Name of facility	Availed from	Sanction Limit	Outstanding	Capacity	DPD
1	Credit Card	Not disclosed	0.55	0.49	Individual	0
2	Credit Card	Not Disclosed	2.65	2.24	Individual	0
3	Property Loan	Not Disclosed	235.89	213.83	Joint	0
4	Credit Card	Not Disclosed	1.19	0.17	Individual	0
5	Credit Card	Not Disclosed	4.69	2.45	Individual	0
6	Auto Loan Personal	Not Disclosed	15.00	8.50	Individual	0
7	Credit card	Not Disclosed	1.48	(0.005)	Individual	0

MLP Comments:

- Branch to immediately add all directors/guarantors of M/s Arhyama solar power Pvt Limited in the Related party details of CC limits and all the three term loans and ensure all limits are reflected in the CBIL reports of all the directors/guarantors.
- Term loan 013930100023716 availed in the name of the firm is not reflecting in the CIBIL report of the director's Mr. Rammurthy Nakrikanti, Mr. Nakirikanti Ananth. All three Term loans availed



in the name of the firm are not reflecting in the CIBIL of Mr. Anil Perumalla, Srinivasa Rao Perumalla, Sree latha Perumalla, Mr. Sai Sidhartha Namburi

- Two Term loans availed from Karur Vysya Bank under Consortium are not reflecting in the CIBIL report of all Directors. Branch to take up the matter with Karur Vysya Bank & CIBIL authorities and ensure all loans availed in the capacity of borrower/guarantor should reflect in the individual CIBIL report.

Sister Concerns:

1. M/s Arhyama Energy Private Limited:

As per the Commercial CIBIL report generated vide report order number W-406131901 dated 29.06.2024, MSME CIBIL rank is Na. No live credit facilities in last 24 months.

2. M/s Margi Hotels and Resorts Pvt Limited:

As per the CIBIL report generated vide report order number W-406139272 dated 29.06.2024, MSME rank is NA. No live Credit facilities in the last 24 months.

3.M/s. Manchu konda Agro tech Pvt Ltd: As per the CIBIL report generated vide report order number W-406137866 dated 29.06.2024, MSME rank is CMR1.with following readings

Rs. Lakh

Institution	Total lender	Total CF (as Borrower)	Open CF	Total o/s (as Borrower)	Latest CF open date	Delinquent (as Borrower)	
				Amt		CF	O/s
Union Bank	No credit facilities						
Other PSB's	3	13	1	0	16.12.2023	0	0.00
Pvt/Foreign Banks	4	14	4	295.34	30.12.2023	0	0.00
NBFC's & Others	0	0	0	0	0	0	0.00
Outside - Total	7	27	5	295.34	0	0	0.00
Grand Total	27		5	295.34		0	0.00

As per the CIBIL report generated vide report order number W-406137866 dated 29.06.2024, MSME rank is CMR1.

4. M/s. Dhakshitha Solvent extractions pvt ltd vide report no. W-410116041 dt 06.07.2024, MSME RANK is CMR-3

With following readings

Institution	Total lender	Total CF (as Borrower)	Open CF	Total o/s (as Borrower)	Latest CF open date	Delinquent (as Borrower)	
				Amt		CF	O/s
Union Bank	No credit facilities						
Other PSB's	0	0	0	0		0	0.00
Pvt/Foreign Banks	2	3	2	948.10	14.02.2024	0	0.00
NBFC's & Others	3	3	3	842.08	18.07.2022	0	0.00
Outside - Total	5	6	5	1790.18		0	0.00
Grand Total	6		5	1790.18		0	0.00

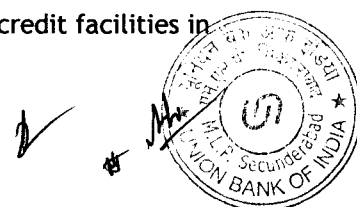
5.M/s. Arhyama Power Projects Pvt Ltd:

As per CIBIL report order no . W-410115578 dt 06.07.2024 generated for company given following reading:

CIBIL MSME Rank: NA , No live credit facilities in last 24 months

6. M/s. Hari Teja Agro Industries pvt ltd:

As per CIBIL report order no .W-410116260 DT 06.07.2024 , MSME Rank is NA, No live credit facilities in last 24 months



7.M/s. Rapha Health India Pvt Ltd:

As per CIBIL report order no. W-410116134 DT 06.07.2024 , MSME Rank is NA, No live credit facilities in last 24 months

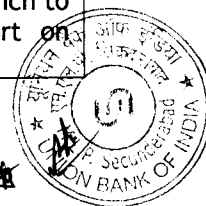
MLP Comments:

- Branch has to get CIBIL reports all sister concerns and ensure that report is satisfactory before release of securities.

5.4 Whether the name of the company / directors figure in Defaulters' List / Central Fraud Registry / caution list of exporters / wilful defaulters / ECGC. If yes, please furnish details.				:	
Nature of List		As on	Source	Remarks	
Non-Suit filed Defaulters list (Rs.1 Cr & above)	:	30.09.2021	UBI Net	Verified and Not Found	
Non-Suit filed Wilful Defaulters list (Rs.25.00 Lakhs and above)	:	31.12.2021	UBI Net	Verified and Not Found	
CIBIL Suit-filed Defaulters (Rs.1 Cr and above)	:	30.09.2021	UBI Net & CIBIL site	Verified and Not Found	
CIBIL Suit-filed Wilful Defaulters (Rs.25.00 lakhs and above)	:	30.12.2021	UBI Net & CIBIL site	Verified and Not Found	
UBI list of Wilful Defaulter (Suit filed and Non Suit Filed) Rs.25.00 lakh and above	:	31.03.2022	UBI Net	Verified and Not Found	
Caution list (in UBI net)		28.02.2023	UBI Net	Verified and Not Found	
ECGC SAL		28.02.2023	ECGC Site	Verified and Not Found	
Central Fraud Registry (CFR)		28.02.2023	CFR site	Verified and Not Found	
GST Returns		31.05.2024	Submitted	Verified and Not Found	
IT Returns		31.03.2023	Submitted	Verified and Not Found	
Also Branch in their Due Diligence report have confirmed that neither the Company nor the Director's names figure in RBI Defaulters list, RBI Caution list and RBI wilful defaulter's list					
5.5 Comments on Central Economic Intelligence Bureau (CEIB) report, as applicable.					NA

5.6 Any litigation in force against the firm / company or against the partners / director. If so, mention details and present position	:	NIL MLP Comment: Branch to obtain a declaration that no litigation is pending against the company or directors.
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5.7 Due Diligence of borrower including comments on adverse market report, if any	:	Branch submitted due diligence report of the borrower dated 28.03.2024 and the same reads satisfactory. MLP Comment: Branch to conduct fresh due diligence of the borrower by present branch head, adverse observations if any are to be reported to competent authority. Branch to keep the fresh due diligence report on record immediately.
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5.8	Date of diligence report as per Annexure III to I.C.8731 dt.04.08.2010, if applicable & any adverse feature commented upon	:	Not Submitted. MLP Comment: Branch to obtain diligence report as per annexure III to IC No 8731 dated 04.08.2010 immediately.
5.9	Other liabilities of directors/ partners (in their individual capacity)		Mentioned at Point No 5.3

6.1	Operational experience with regard to Group concerns:	(Rs. In lakhs)
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Name of the Concern	Branch	Conduct of Account	Working Capital	Term Loan	Contingent	Investments (Treasury)	Present irregularity, if any	Due date of Review
Gigawatt Solar Private Limited	Gagan mahal Road	Satisfactory	150.00	0.00	0.00	0.00	Nil	13.02.2024

6.2	Comments on other Bank's credit report on Group Concerns:			
Group Concerns	Name of the Bank	Date of Report	Satisfactory (Y/N)	If No, please provide details

6.3	Latest financials of sister concerns	:	
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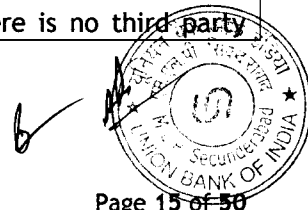
Particulars	Sister/Group/associate/ subsidiary concerns				(Rs. In Lacs)
Name	M/s Arhyama Energy Private Limited	M/s. Gigawatt solar Pvt Ltd	M/s Manchukonda Agrotech Private Limited	M/s Margi Hotels and Resorts Pvt Limited	Consolidated (Group as a whole)
FY	2022-23	2022-23	2022-23	2022-23	
NET SALES	0	605.61	39620.50	0	
PAT	-4.85	5.40	3545.10	51.09	
TNW	-7.31	53.40	8920.60	693.19	
TOL/TNW	-	4.50	0.50	0.86	
DER	-	0.12	0.05	0.12	
Current Ratio	-	1.50	2.25	1.77	

MLP comments:

Branch to obtain latest financials of sister concern and ensure the same reads satisfactory.

7.1	Compliance of terms of sanction:	Date	Yes/No	Remark
	Whether Documents & Mortgage formalities completed as per sanction	23.03.2013	Yes	-
	Whether CPA conducted as per sanction, whether Report is unqualified.	NA Only renewal	-	-
	Whether all other terms and conditions along with observations/remarks of sanctioning authority complied, if any, as per previous sanction	18.06.2024	Yes	-

7.1.1	Confirmation on the following: "No third party is involved at any stage in the loan	Yes Branch confirmed that there is no third party
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	sanction process.”		involved at any stage.
7.2	Compliance on Loan Policy / RBI guidelines	:	Yes

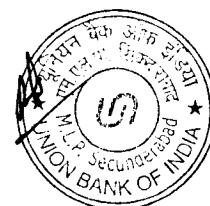
7.3	Prudential exposure norms [inclusive of Bank's exposure in the form of investments like shares, debentures, CP, etc.]	:	Within the prudential risk exposure ceiling of the Bank.
7.3.1	Prudential exposure norms as per Constitution:		Yes
7.3.2	Whether borrower falling under Large Exposure Framework i) Whether exposure to the Borrower is more than 5% of Tier I capital of the Bank: Yes/No ii) If yes, whether any other legal entity/s is/are falling under the definition of connected counterparties considering economic interdependence clause(as defined in extant guidelines on prudential exposure ceilings): Yes /No iii) If yes, whether our Bank having any exposure to the above identified legal entity/s under economic interdependence clause: Yes/No iv) Whether Delegation of loaning powers as applicable for maximum aggregate per group reckoned: Yes/ No		NO
7.3.3	Whether borrower is a specified borrower under the RBI guidelines for Normally Permitted Lending limit (NPLL). Comments on the same, if applicable		NA
7.3.4	Whether borrower is eligible under Loan system for delivery of bank credit. Comments on the same, if applicable		NA
7.3.5	Whether compliance on constitution wise exposure ceiling.		YES
7.3.6	Bank's exposure to industry BSR code (sector)		40105 - Generation and distribution of Solar energy and other nonconventional sources

7.3.6.1 Exposure

(Rs. In lakh)

Classification of Asset	No. of A/cs	Fund-Based Limits	Non Fund Based limits	Total
Standard				
Sub-Standard	Data Not available			
Doubtful				
Loss				
TOTAL				

7.3.6.2 Whether this exposure falls within the sector wise / industry wise Exposure Ceiling?: NA



8. Details of Security:

8.1 Detail of Prime Security: (In case of Mortgage of Assets)

For Term Loan:

Amount in (Rs- lakhs)

Paripassu charge on Fixed Assets Non Agricultural Land and Building at Kolanupaka Village, Aleir Mandal of Nalgonda District		
Sy.No	Area (acres- guntas)	Value in lakhs
1085	0-25	NRV.Rs-1580.63 MV-Rs.1756.25 DV-Rs. 1405.00 EVR Dt. 23.09.2022 By panel engineer Mr. A S PrakashBabu
1080	1-26	
1088	2-37	
1102	3-14	
1087/౨	4-36	
1087/౩	4-36	
1087/౪	1-34	
1086/౫	3-31	
1085/౬	0-30	
1085	0-25	
1104/౭	3-20	
1088	2-37	
1102	3-14	
Total area	35.05	

8.2 Details of Prime Security (Other than mortgaged assets)

(Rs. In lakh)

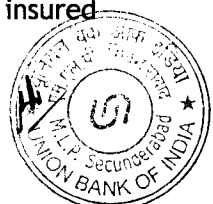
Value of Paid up inventories / Eligible Debtors / Plant & Machinery / Other movable assets / Other securities such as cash margin for LC / LG	Date of latest stock and Book Debts statement	Date of valuation and name of valuer in case of Plant & Machinery (Comments on divergence in value of security from earlier valuation)	WDV of Plant & Machinery as per latest Audited Financial Statement	Date of creation of charge with ROC	Amount of charge created along with details of assets	Insurance Amount & Date of Expiry
For CC: Exclusive charge on Book debts of Rs.109.00	Book debt Statement 01.06.2024	Net Realisable Value:	-	06.07.16	100.00	Na
For TL: Paripassu charge on P&M	--	ABS2023	2492.00	13.04.13	3826.00	Rs.2500.00 Expire dt: 29.06.2025

FACR:

Total Value of Fixed assets (land, building, P&M and misc assets)	2864.81
Total exposure (UBI:536.71+KVB:89.25)	625.96
FACR Coverage	218.50%

MLP Comment:

- Branch to ensure that CERSAI registration is done for primary securities of both CC and TL limits. Record of compliance of the same is to be kept on record immediately.
- Branch to ensure that primary security pertaining to TL i.e. P&M, are adequately insured with bank clause.

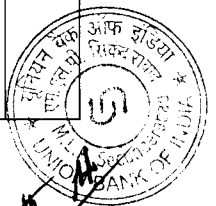


8.3 Facility-wise Collateral security:

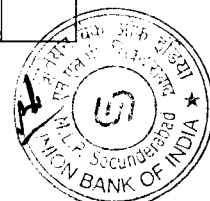
Paripassu Charge on following collateral securities along with Karur Vysya Bank.

Existing securities as per last sanction:

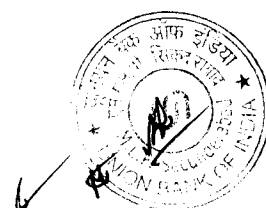
45	Nature / Description of collateral Security	Value Accepted by Branch /Bank	Dt. & Value of Property along with name Valuers, if required	Insurance Amount & Date of Expiry	CERSAI ID	Remarks
1	House Plot measuring 1985 sq.yds in Sy.No.125/C at Hunter Road, Shayampet, Warangal belonging to N.Laxmi Shyama Sundari, Smt Charumathi Namboori, Mrs. Mothe Rani, Mr. Gunishetti Parameshwari and Badam Saraswathi	714.60	1 st valuation: FMV:893.25 NRV:714.60 DV:625.28 11.08.2021 A S Prakash Babu, Prakash Associates 2 nd valuation: FMV:913.10 NRV:730.48 DV:639.17 Dt 21.02.22 Nagendra Nath aitha, Sai Associates	Not Applicable	Security ID: 400004934241 Asset ID: 200004928100	
2	Residential building in G+2, extent 395 Sq yards bearing HNO.11-27-2-A-2(Old),11-27-86(old),11-27-52/2(New), 1 st Bank Colony, Kothawada, Warangal City. Warangal dist, belonging to Sri. Rammurthy Nakirikanti S/o late Ananthaiah	190.66	FMV:211.84 NRV:190.66 DV:148.29 11.08.2021 A S Prakash Babu, Prakash Associates.	Yet to Submitted.	Security ID: 400022681621 Asset ID: 200022632182	
3	Residential bldg in G+2, extent 402.38 Sq yards bearing H NO.11-27-2-A-2(Old),11-27-86(old),11-27-53&54(New),1 st Bank Colony, Kothawada, Warangal City. Warangal dist belonging to Vishweshwar Rao Namboori and Charumathi Namboori	189.68	FMV:210.76 NRV:189.68 DV:147.53 11.08.2021 A S Prakash Babu, Prakash Associates.	Yet to Submitted.	Security ID: 400022736920 Asset ID: 200078375083	
4	Vacant land measuring 246.97 s.yds in Sy.No.4, Near H.No.2-1-583, block No.1, ward no.2, Laskasingaram, Naim Nagar, Hanamkonda belonging to	158.06	FMV:197.58 NRV:158.06 DV: 138.31 11.08.2021 A S Prakash	Not Applicable	Security ID : 400004928085 Asset ID: 200004921948	



45	Nature / Description of collateral Security	Value Accepted by Branch /Bank	Dt. & Value of Property along with name Valuers, if required	Insurance Amount & Date of Expiry	CERSAI ID	Remarks
	Yada Krishna Murthy		Babu, Prakash Associates.			
5	House Plot measuring 847 s.yds in Sy.No.742, Near H.No.2-8-20/1 & 2-8-55, Mothukulagudem Village, DCMS road, Jammikunta, Karimnagar District belonging to Yada Krishna Murthy	67.76	FMV:84.70 NRV:67.76 DV: 59.29 11.08.2021 A S Prakash Babu, Prakash Associates.	Not Applicable	Security ID : 400004920744 Asset ID : 200004914610	
6	House property (G+2) with a plinth area of 1756 sft, extent of the plot 1650 Sq Ft, bearing No.669, 8 th A main road, 2 nd cross, 3 rd stage, in Block III, Near Panacea Hospital at Basaveshwar Nagar, Bangalore belonging to N Laxmi Shyama Sundari	251.00	FMV:279.00 NRV:251.00 DV: 223.00 16.08.21 S R Nanda Kumar Previous valuation: Rs 225 lakhs as per EVR dt 13.11.17	Yet to Submitted.	Security ID : 400004915251 Asset ID : 200004909123	
7	Extension of residential land and building, extent 266 sq. Yards on Plot No.165 in survey no.74/12 or part of GLR no.396 situated at sanction layout of CBR no.72 dt.27.12.1977 of TriMoorthy Weaker Section Co-op Housing society situated at East Marredpally, Secunderabad, Cantonment belonging to Mr Ananth Nakirikanti (Existing HI-013930100024131-O/s- Rs-2.21 lakhs 013930100019740-O/s- Rs.38.76 lakhs total Rs. 40.97 lakhs, 200% on total is Rs.81.94 lakhs. Residual value= 302.74-81.94= 220.80)	220.80	FMV:378.43 NRV:302.74 DV: 264.90 19.08.2021 A S Prakash Babu, Prakash Associates.	Rs 139.05 lakhs & 18.08.25	Security ID : 400004921022 Asset ID : 200004914888	
8	Residential open site admeasuring 692.94 sqyds located at Sy.No.81, Plot No.22 & 23, second plot of Mamatha By-pass Road,	185.70	FMV:232.13 NRV:185.70 DV: 162.49 11.08.2021	Not Applicable	Security ID : 400004921660 Asset ID :	



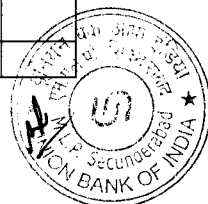
45	Nature / Description of collateral Security	Value Accepted by Branch /Bank	Dt. & Value of Property along with name Valuers, if required	Insurance Amount & Date of Expiry	CERSAI ID	Remarks
	Near to Toyota Show room, Beside H.No.6-1-16/40, Pakabanda area, Khammam Town Municipal limits, Khammam belonging to Perumalla Shyam Sundar		A S Prakash Babu, Prakash Associates.		200004915525	
9	Commercial open site admeasuring 776.84 sq. yards (As per sale deed extent is 776.84 Sq yards, after deducting road widening area the net area is 535.33 Sq yards) located at Sy. No. 152, 154, 155,156/1, 157 158, 159 & 288/1 Plot No. 8. Adj. To By-pass Road, opp. BSNL Office, near Hanuman Temple & Veterinary Hospital and fly over bridge beside door No. 10-6-186/5 Burhanpuram Area of Khammam Municipal Corporation Limits, Khammam belonging to Sreelatha Perumalla already held with our BSC complex branch for the credit facilities of Sai Sri Perumalla Filling station, limit of Rs 0.10 Cr closed on 25.06.18.	192.72	FMV:240.90 NRV:192.72 DV: 168.63 11.08.2021 A S Prakash Babu, Prakash Associates.	Not Applicable	Yet to Submitted.	
	Total	2170.98				



Borrower has requested for release of Property number's 2,3,6,7 & 9.**On release of the mentioned properties , we will be left with the following properties**

(Amount in Rs- Lakhs)

S No	Nature / Description of collateral Security	Value Accepted by Branch /Bank	Dt. & Value of Property along with name Valuers, if required	Insurance Amount & Date of Expiry	CERSAI ID	Remarks
1	House Plot measuring 1985 sq.yds in Sy.No.125/C at Hunter Road, Shayampet, Warangal belonging to N.Laxmi Shyama Sundari, Smt Charumathi Namboori, Mrs. Mothe Rani, Mr. Gunishetti Parameshwari and Badam Saraswathi	650.00	1 st valuation: FMV:893.25 NRV:714.60 DV:625.28 11.08.2021 A S Prakash Babu, Prakash Associates 2 nd valuation: FMV:913.10 NRV:730.48 DV:639.17 Dt 21.02.22 Nagendra Nath Aitha, Sai Associates	Not Applicable	Security ID: 40000493 4241 Asset ID: 20000492 8100	
2	Vacant land measuring 246.97 s.yds in Sy.No.4, Near H.No.2-1-583, block No.1, ward no.2, Laskasingaram, Naim Nagar, Hanamkonda belonging to Yada Krishna Murthy	150.00	FMV:197.58 NRV:158.06 DV: 138.31 11.08.2021 A S Prakash Babu, Prakash Associates.	Not Applicable	Security ID : 40000492 8085 Asset ID: 20000492 1948	
3	House Plot measuring 847 s.yds in Sy.No.742,Near H.No.2-8-20/1 & 2-8-55, Mothukulagudem Village, DCMS road, Jammikunta, Karimnagar District belonging to Yada Krishna Murthy	67.00	FMV:84.70 NRV:67.76 DV: 59.29 11.08.2021 A S Prakash Babu, Prakash Associates.	Not Applicable	Security ID : 40000492 0744 Asset ID : 20000491 4610	
4	Residential open site admeasuring 692.94 sqyds located at Sy.No.81, Plot No.22 & 23, second plot of Mamatha By-pass Road, Near to Toyota Show room, Beside H.No.6-1-16/40, Pakabanda area, Khammam Town Municipal limits, Khammam belonging to Perumalla Shyam Sundar	175.00	FMV:232.13 NRV:185.70 DV: 162.49 11.08.2021 A S Prakash Babu, Prakash Associates.	Not Applicable	Security ID : 40000492 16600 Asset ID : 20000491 5525	
	Total	1042.00	NRV: 1126.12			



Collateral Coverage

Rs. In lakh

	Existing coverage	Proposed Coverage		
		NRV	Value as per Branch due diligence	Value accepted which ever is low
Total value of Collateral security available	2170.98	1126.12	1042.00	1042.00
Exposure to the Bank	683.50	536.71	536.71	536.71
Exposure of Karur Vysya Bank	195.26	89.25	89.25	89.25
Total Exposure	878.76	625.96	625.96	625.96
Total coverage	247.50%	194.14%	166.46%	166.46%

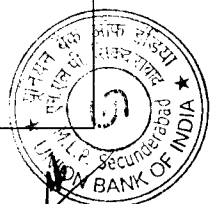
- Purpose of the proposal includes release of property as per borrower request and branch recommendations. On release of collaterals, dilution is observed.
- As per Loan policy 2024-25, in cases, where the release of collaterals with dilution, limits to be renewed and request for release to be submitted to RLCC I.

- Following details to be provided:

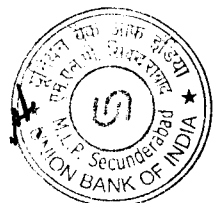
S. No.	Particulars	Amt in lakh
A.	Total Securities	
B.	Immovable properties-Agriculture	0.00
C.	Immovable property-Non-Agriculture	1042.00
	Out of which:	
i.	Residential properties	1042.00
ii.	Commercial properties	0.00
iii.	Industrial properties	0.00
iv.	NA converted land (other than i, ii and iii)	0.00
v.	Plant & Machinery	0.00
vi.	Financial Assets (FDR etc)	0.00
vii.	Immovable properties-Agriculture	0.00

8.4 Comments on title search report:

Property SI No	Title Search Report		
	Primary Security		
1	As per legal opinion dated 24.12.12, 10.03.2023 given by M N Mallikarjuna Rao, Arhyama Solar Power Pvt Ltd is having absolute clear and marketable title. It is observed that branch has submitted legal opinions pertaining to extent of Ac 25.13 only and legal opinions pertaining to two extents of Ac 4.36 each are yet to be submitted by branch.		
	Sy.No	Area (acres-guntas)	As per Legal Opinions submitted by branch
	1085	0-25	0-25
	1080	1-26	1-26
	1088	2-37	2-37
	1102	3-14	3-14
	1087/౨	4-36	Not submitted
	1087/౩	4-36	Not submitted
	1087/౪	1-34	1-34
	1086/౫	3-31	3-31
	1085/౬	0-30	0-30
	1085	0-25	0-25



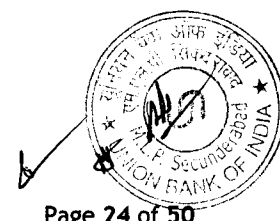
	1104/౯	3-20	3-20
	1088	2-37	2-37
	1102	3-14	3-14
	Total area	35.05	25.13
MLP Comment: Branch to keep on record legal opinion pertaining to two extents of Ac 4.36 each in S No 1087/౯ & 1087/౯a pertaining to primary security where the unit is located, as the same are yet to be submitted by branch.			
1	As per Title search report dated 29.06.2022 given by panel advocate M kanaka Durga, following persons are having absolute, clear and marketable title. 1. N. Laxmi Shyama Sundari, 2. Namboori, Charumathi, 3. Mrs. Mothe Rani, 4. Mr. Gunishetty Parameshwari and 5. Badam Saraswathi 2 nd TSR report yet to be submitted by branch.		
2	As per Title Search report dated 16.12.2016 given by panel advocate A Srinivas Prasad, Mr Yada Krishna Murthy is having clear and marketable title.		
2	As per Title Search report dated 16.12.2016 given by panel advocate A Srinivas Prasad, Mr Yada Krishna Murthy is having clear and marketable title.		
4	As per Title Search report dated 16.12.2016 given by panel advocate A Srinivas Prasad, Sreelatha Perumalla is having clear and marketable title. 2 nd TSR report yet to be submitted by branch.		



9. Personal Guarantee / Corporate Guarantee: (Rs. in lakhs)							
S No	Name of the Guarantor	PAN	Designation	Latest Means		Last sanction	
				Date of Credit report	Amount	Date of Credit report	Amount
1.	Ananth Nakirikanti	AEIPN3340Q	Director	17.05.2024	1682.37	16.11.22	747.15
2.	Srinivasa Rao Perumalla	ACJPP6199E	Director	17.05.2024	1210.98	16.11.22	1668.00
3.	Sreelatha Perumalla	AEWPP9850K	Director	17.05.2024	1091.06	16.11.22	1091.58
4.	Rammurthy Nakirikanti	AANPN5200A	Manging Director	17.05.2024	7595.20	16.11.22	2485.99
5	Anil Perumalla	AIVPP8521C	Director	17.05.2024	1060.16	16.11.22	1328.75
6	Sai Sidhartha Namburi	ATYPN4020E	Director	17.05.2024	735.20	16.11.22	412.34
7	Yada Krishna Murthy	AAHPY4531F	Owner of Collateral Security	#03.07.21	277.00	#03.07.21	277.00
8	Perumalla Shyam Sunder	AACH8226A	Owner of Collateral Security	#03.07.21	346.00	#03.07.21	346.00
9	Charumathi Namboori	AAOPN2300G	Owner of Collateral Security	#03.07.21	236.00	#03.07.21	236.00
10	Vishweshwar Rao Namboori	ABEPN6200E	Existing guarantee	#03.07.21	196.00	#03.07.21	196.00
11	N Laxmi Shyama Sundari	AANPN5202C	Owner of Collateral Security	#03.07.21	500.00	#03.07.21	500.00
12	Badam Saraswathi	Not Available	Owner of Collateral Security	#03.07.21	150.00	#03.07.21	150.00
13	Mothe Rani	Not Available	Owner of Collateral Security	#03.07.21	150.00	#03.07.21	150.00
14	Gunishetti Parameswari	Not Available	Owner of Collateral Security	#03.07.21	150.00	#03.07.21	150.00
15	Yada Aruna	AAZPY8548E	Having 20% shareholding	#03.07.21	173.00	#03.07.21	173.00
	Total				15552.57		9911.81

#MLP Comment:

Branch to compile latest credit report of owners of collateral security Yada Krishna Murthy, Perumalla Shyam Sunder Rao, Namboori Charumathi, Namburi Vishweshwar Rao, Nakirikanti Laxmi Shyama Sundari, Badam Saraswathi, Mothe Rani, G Parameswari and Yada Aruna immediately. Compliance of the same is to be kept on record invariably. Adverse observations, if any, are to be reported to sanctioning authority

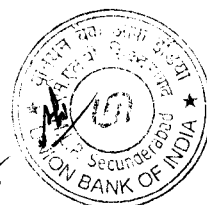


10.	FINANCIAL INDICATORS OF BORROWER Name of borrower : (Name of statutory auditors with membership no.)	:	M/s Arhyama Solar Power Private Limited CA. Nageswara Rao Alaparathi, ICAI M. No.225362, M/s A N Rao & Associates, Chartered Accountants ICAI FRN-014861S UDIN:23225362BGWGP7395. UDIN verified in ICAI portal on 03.07.2024 and is found to be correct.
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(Rs. In Lakh_)

Performance/	Aud	Aud	Est*	Aud	Prov	Est	Proj.
Financial indicators	31.03.21	31.03.22	31.03.23	31.03.23	31.03.24	31.03.25	31.03.26
Paid up capital	900.00	900.00	900.00	900.00	900.00	900.00	900.00
Reserves and Surplus	180.57	219.65	284.13	280.12	318.42	377.33	440.82
Intangible Assets	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Tangible Net Worth (a+b+c)	1080.57	1119.65	1184.13	1180.12	1218.42	1277.33	1340.82
Long Term Liabilities	1877.59	2090.46	1914.59	2031.56	2080.83	1552.73	1393.12
(w/w unsecured loan i.e. Quasi Equity)	1211.72	1260.02	1260.00	1261.69	1735.52	1261.69	1261.69
Capital Employed (d+e)	2958.16	3210.11	3098.72	3211.68	3299.25	2830.06	2733.94
Net Fixed Assets	3221.12	3041.30	2843.35	2864.81	2669.47	2460.69	2258.63
Investments	0.00	0.00	0.00	0.00	300.00	0.00	0.00
Non Current Assets	0.00	0.00	0.00	195.63	164.17	62.95	62.95
Net Working Capital (f-g-h-i) or (k-l)	-262.96	168.81	255.37	151.24	165.61	306.42	412.36
Current Assets	287.46	323.20	582.92	293.09	555.38	639.14	747.28
Current Liabilities	550.42	154.39	327.55	141.85	389.77	332.72	334.92
Current Ratio (k/l)	0.52	2.09	1.78	2.07	1.42	1.92	2.23
Debt equity ratio	1.74	1.87	1.62	1.72	1.71	1.22	1.04
TOL/TNW ((e+l)/d)	2.25	2.00	1.89	1.84	2.03	1.48	1.29
TOL/TNW along with Contingent Liabilities	2.25	2.00	1.89	1.84	2.03	1.48	1.29
Net Sales	556.83	750.48	825.53	650.38	652.79	860.14	991.16
Cost of Sales	298.07	474.32	523.56	473.01	465.39	605.51	751.52
Operating Income/EBITDA	415.46	408.55	427.92	341.59	319.56	351.69	331.70
Other Income	18.28	1.70	6.00	20.83	39.91	7.00	7.00
Interest/Finance Charges	212.83	172.52	150.00	114.15	105.66	71.58	50.84
Depreciation	198.65	199.00	197.95	202.06	202.06	202.06	202.06
Tax	9.37	10.62	21.49	19.47	0.00	22.11	22.31
Net Profit after Tax (s+t-u-v-w)	12.89	28.11	64.48	26.74	51.75	62.94	63.49
Cash Accruals (v+x)	211.54	227.11	262.43	228.80	253.81	265.00	265.55
Interest service coverage ratio(EBIT/interest)	1.95	2.37	2.99	3.02	4.91	6.52	1.95

* estimates submitted on last renewal of limits.



Credit facilities were restructuring under Covid Resolution in 2021 with moratorium in repayment from Aug-21 to Jul-23 for all TLs, taking into consideration the same, actual TL outstanding didn't decrease YoY as on 31.03.22. However Term liabilities are reduced for year 2023,2024.

Net Fixed assets

(Rs. In lakhs)

PARTICULARS	Audited 31.03.21	Audited 31.03.22	Audited 31.03.23	Prov 31.03.24	Estimate 31.03.25	Proj 31.03.26
Land	116.11	116.11	131.11	131.11	2460.69	2258.63
Computers and peripherals	2.25	2.29	1.07	0		
Vehicles	1.97	1.76	1.55	1.33		
P&M	3041.14	2861.91	2667.31	2477.26		
Buildings	58.31	56.61	53.94	51.26		
Furniture/Office equipment	1.33	2.60	9.83	8.51		
Total	3221.12	3041.31	2864.84	2669.47	2460.69	2258.63

Current Assets:

(Rs. In lakhs)

PARTICULARS	Audited 31.03.21	Audited 31.03.22	Audited 31.03.23	Prov 31.03.24	Estimate 31.03.25	Proj 31.03.26
Cash and bank Balances	10.41	2.51	10.61	125.81	95.07	96.40
Fixed Deposits with banks and others	42.27	42.27		25.07		
Receivables	162.30	178.80	218.04	326.35	430.07	536.88
Other Current Assets	72.48	99.62	64.44	78.15	114.00	114.00
Total	287.46	323.20	293.09	555.38	639.14	747.28

Other current assets majorly pertain to short term deposits, other loans and advances and MAT credit. Cash balance at provisional is higher side as on 31.03.2024, on account of moratorium in repayment till July 2023, on account of which cash accruals increased.

Current Liabilities

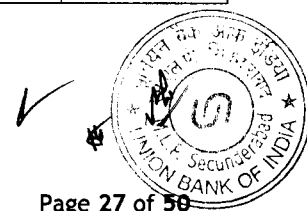
(Rs. In lakhs)

PARTICULARS	Audited 31.03.21	Audited 31.03.22	Audited 31.03.23	Prov 30.09.22	Est 31.03.23	Proj. 31.03.24
Short term borrowings from bank	98.38	100.62	96.74	100.50	100.00	100.00
Creditors	17.69	0.18	1.31	0.00	12.00	14.00
TL instalments to be repaid within a year	379.33	--	9.84	246.81	159.61	159.61
Provision for taxation	3.78	3.75	7.46	13.46	22.11	22.31
Short term provision	51.24	49.84	26.50	29.00	39.00	39.00
Total	550.42	154.39	141.85	389.77	332.72	334.92

Financial ratios:

	Benchmark	Audited 31.03.21	Audited 31.03.22	Audited 31.03.23	Prov 31.03.24	Estimated 31.03.25	Projection 31.03.26
CR	Min 1.15:1	0.52	2.09	2.07	1.42	1.92	2.23
DE ratio	Max 3.00:1	1.74	1.87	1.72	1.71	1.22	1.04
TOL/TNW	Max 4.00:1	2.25	2.00	1.84	2.03	1.48	1.29
Interest Service Coverage	Min 1.25:1	1.95	2.37	2.99	3.02	4.91	6.52

All ratios as per ABS 31.03.2023 are in compliance to the loan policy guidelines.



Net Revenue

PARTICULARS	Audited 31.03.21	Audited 31.03.22	Audited 31.03.23	Prov 31.03.24	Est 31.03.25	Proj. 31.03.26
Power Sales	506.60	481.98	535.98	589.44	756.92	872.22
REC certificate sales	50.23	268.50	91.08	63.35	103.22	118.94
Sale of other goods			23.32	-	-	-
Total	556.83	750.48	650.38	652.79	860.14	991.16

Power Sales of the borrower increased from Rs 481.98 lakhs in the FY21-22 to Rs 535.98 lakhs in the FY22-23 and same was further increased to Rs.589.44 lakhs as per PBS2024 on account of demand from the power purchaser i.e. Reddy Labs.

REC certificate trading was suspended in July 2020 due to court orders and same was resumed in FY21-22, on account of which revenue of the company from REC certificate sale are high for FY2021-22. REC sales for FY2022-23, FY2023-24 is Rs.91.08 lakh and Rs.63.35 lakh only due to decrease in price value of REC certificate

Company total revenue is Rs. 652.79 lakh as per PBS2024 . Company total revenue estimated for Rs. Rs.860.14 lakh and projected for Rs. 991.16 lakh as of Mar'25 and Mar'26.

Revenue as per monthly GST returns:

Amount in Rs- lakh

Apr-23	May-23	Jun-23	Jul-23	Aug-23	Sep-23	Oct-23	Nov-23	Dec-23	Jan-24	Feb-24	Mar-24	Total
61.24	82.42	52.16	51.69	35.77	39.00	85.49	52.29	66.83	41.10	47.84	48.15	663.98

Apr-24	May-24	Jun-24	Total
50.63	27.85		78.48

As per GST returns revenue of the borrower stood at Rs 78.48lakh till May 2024 during the FY 2024-25 and prorate same is 55% of the estimated revenue of Rs. 860.14 lakh

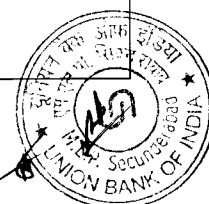
Company revenues reduced for FY2023, FY2024 with respect to the FY2022 due to reduce of REC certificates and its price. However power revenues are increased for FY2023, FY2024 and same was further increased for estimated and projected years.

The estimated and projected REC revenues are in line with FY2024, hence we accepting the estimated revenue of Rs.860.14 lakh for FY2024-25

Profit after Tax:

Year Ended	Audited 31.03.21	Audited 31.03.22	Audited 31.03.23	Prov 31.03.24	Estimated 31.03.25	Projected 31.03.26
Net Profit	12.89	28.11	26.74	51.75	62.94	63.49
Net Revenue	556.83	750.48	650.38	652.79	860.14	991.16
NP/Sales%	2.54%	5.83%	4.11%	7.93%	7.32%	6.41%

10.1	Comments on Financial Indicators	:	As above
10.2	Comments on action being taken on change of financial ratios to specific loan related actions (such as asking for additional collateral security, interest reset, equity infusion, etc)	:	Ratios are within benchmark level.
10.3	Percentage of Contingent Liabilities / Acceptance given by the concern to Net Worth	:	As on 31.03.2023 Contingent Liabilities are Nil.



10.4	Audit Notes in Balance Sheet if any, to be specified	:	Nil																					
10.5	Comments on Financial Indicators on Cash Basis (Details on Operating, Investing, Financing activities)	:	Mentioned below																					
	<table><tr><td>Particulars / Period</td><td>2022-23</td><td>2021-22</td></tr><tr><td>Net Cash Flow from Operating Activities</td><td>213.11</td><td>-26.13</td></tr><tr><td>Net Cash Flow from Investment Activities</td><td>-75.32</td><td>-17.50</td></tr><tr><td>Net Cash Flow from Financing Activities</td><td>-171.97</td><td>35.74</td></tr><tr><td>Net Cash Surplus</td><td>-34.18</td><td>-7.89</td></tr><tr><td>Opening Cash</td><td>44.80</td><td>52.69</td></tr><tr><td>Closing Cash</td><td>10.61</td><td>44.80</td></tr></table>	Particulars / Period	2022-23	2021-22	Net Cash Flow from Operating Activities	213.11	-26.13	Net Cash Flow from Investment Activities	-75.32	-17.50	Net Cash Flow from Financing Activities	-171.97	35.74	Net Cash Surplus	-34.18	-7.89	Opening Cash	44.80	52.69	Closing Cash	10.61	44.80		
Particulars / Period	2022-23	2021-22																						
Net Cash Flow from Operating Activities	213.11	-26.13																						
Net Cash Flow from Investment Activities	-75.32	-17.50																						
Net Cash Flow from Financing Activities	-171.97	35.74																						
Net Cash Surplus	-34.18	-7.89																						
Opening Cash	44.80	52.69																						
Closing Cash	10.61	44.80																						
10.6	Comments on internal & external diversion of funds, if any	:	As per ABS 31.03.2023 No diversion observed																					
10.7	Source of Capital	:	Capital and reserves and surplus																					
10.8	Comments on Restructuring	:	Restructuring of Term loan-I, Term loan -II & Term Loan - III, under resolution framework 2.0 for MSME Advances, with moratorium for a period by 24 months i.e, from August 2021 to July 2023, and to be repaid in 16 Quarterly instalments i.e, repayment commencing from August -2023 and closes by May 2027 was approved by RLCC-1 meeting dated 27.07.2021.																					
10.9	Latest quarterly/half-yearly/Nine Months results of the concern, where available should be commented	:	Latest PBS2024 available.																					
10.10	Performance of the Company vis-à-vis Industry (Enjoying credit limits of Rs.25 crores and above)	:	Not applicable																					
11.	Evaluation of Industry	:	Relevant, shall be mentioned in Bullet Points only.																					

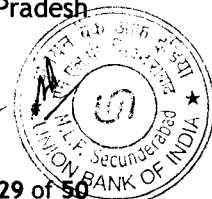
As per CRISIL Industry report for Apr-2024.

Industry Risk Score: 5.47

Risk factor: Neutral.

Executive summary:

Demand in the solar energy sector is primarily driven by central and state solar policies, as well as the renewable purchase obligation (RPO) targets set by individual states. The RPO mandates state-owned and private distribution companies (discoms), open access entities, and captive users to procure a fixed percentage of their power from renewable sources. For states with limited solar potential, they have the option of using renewable energy certificates (RECs) to meet their RPO obligations. The overall compliance with solar renewable purchase obligations (RPOs) is estimated to be approximately 91 percent in 2022-23, following significant revisions by the Ministry of Power. However, this achievement is largely attributed to a few key states with lower RPO targets. Karnataka, Telangana and Andhra Pradesh



have successfully met their solar RPO targets, accounting for around 22 percent of the total installed capacity as of March 2024. In addition to these state-level initiatives, the Central government's National Solar Mission, COP-26 target of achieving 50% non-fossil fuel energy penetration by 2030, promotion of green hydrogen, green energy open access rules, and fiscal incentives such as the accelerated depreciation scheme (providing 40 percent depreciation in the first year of operations) and the Ministry of New and Renewable Energy's rooftop solar subsidy scheme will further stimulate the demand for solar power. It is anticipated that capacity additions will reach 125-130 GW between FY25 and FY29, with further upside of 34-38 GW possible on account of Green hydrogen additions. To sustain this growth in solar capacity, it is essential to enforce RPOs, promote rooftop solar adoption, establish consistent and sustainable policies across states, secure low-cost financing, and ensure the availability of suitable land and grid infrastructure. Although the potential for solar power is substantial, the solar sector remains highly competitive, with the adoption of L1 bidding (reverse bidding) under the National Solar Mission and various state policies. Furthermore, the sector has witnessed increased participation from global independent power producers (IPPs) and large Indian conglomerates.

Back ground:

Solar energy can be converted into electricity through two technologies: solar photovoltaic and concentrated solar power. Solar photovoltaic technology converts solar radiation (sunlight) into electricity using solar modules, while concentrated solar power technology employs mirrors to focus sunlight, heating a fluid that activates a steam engine for electricity generation. A solar power generator can choose from multiple business models: signing power purchase agreements (PPAs) with state distribution utilities under state schemes, signing PPAs with central utilities like NVVN and SECI under central schemes, entering into PPAs with large open-access consumers, or selling power at the average pooled power purchase cost (APPC) to state utilities/third parties and using the balance for selling renewable energy certificates (RECs). The installed base of solar PV capacity was negligible until the end of March 2011, at 20 MW. Driven by the National Solar Mission (NSM) and various state policies (such as those in Punjab, Madhya Pradesh, Karnataka, Rajasthan, Gujarat, Tamil Nadu, Andhra Pradesh, Telangana, Maharashtra, and Uttar Pradesh), the installed base of solar power has surged to approximately 81.8 GW as of the end of fiscal 2024.

Industry risk and parameters :

Demand in the solar energy sector is primarily driven by central and state solar policies, as well as the renewable purchase obligation (RPO) targets set by individual states. The RPO mandates that both state-owned and private distribution companies (discoms), open access entities, and captive users procure a fixed percentage of their power requirement from renewable energy sources. For states with insufficient solar potential, they can utilize the renewable energy certificate (REC) route to fulfill their RPO obligations. The overall compliance with solar renewable purchase obligations (RPOs) was estimated to be approximately 90-95 percent in 2022-23. However, Karnataka, Telangana, and Andhra Pradesh were among the few states that met their solar RPO targets, collectively accounting for approximately 22 percent of the total installed capacity as of the end of March 2024. Enforcement of RPOs and strict penalties for non-compliance will be crucial for sustaining sector growth over the medium to long term. CRISIL MI&A Research anticipates solar power capacity additions of 125-130 GW between FY25 and FY29, with further upside of 34-38 GW possible from Green hydrogen. Capacity additions in the medium term will be led by projects commissioned under central and state schemes, by CPSUs, through open-access arrangements, and rooftop allocations. Additionally, the sector is expected to experience growth due to the expansion of Green Hydrogen initiatives.

Government policies:

Overall, government policy has been favorable to the sector. Solar power generators enjoy a 40 percent accelerated depreciation benefit. The newly launched Surya Yojana in 2024 has been planned to boost the residential offtake of solar rooftop. Subsidy levels have increased from Rs 18,000 to Rs 30,000 on a per kw basis for plant size up to 2 kW. For plant size of 3 kW, maximum subsidy available is Rs 78,000 in total, with this remaining as a cap for project sizes larger than 3 kW. Along with this, free electricity upto 300 units per month per household has been announced. This essentially means, the 66% jump in subsidy support has been directed mainly to the smaller sized rooftop projects, which would comprise the majority of solar rooftop potential in India and would also face affordability concerns the most due to small sizing. To further promote open-access installations, the government recently unveiled the 2022 Green Energy Open-Access Rules. These rules address key issues in the segment, including high fees, the absence of banking provisions, and procedural variability. They not only benefit private consumers



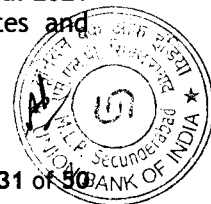
seeking private power transactions but also provide a mechanism for discoms to directly sell green power to consumers. In 2023, the government amended the definition of "entity." The new definition includes entities with contracted demand/sanctioned loads of 100 KW or more through multiple connections aggregating 100 KW or more within the same electricity division of a DISCOM licensee, excluding captive consumers. This amendment benefits sectors like Telecom, which typically have low sanctioned loads of 10 KW per site. Under the previous rules, each site was treated as a separate entity, resulting in operational costs. With over 7 lakh sites in India, this amendment encourages the adoption of renewable energy and cost savings. Central and state governments have provided substantial support. The National Solar Mission includes a payment security mechanism to protect developers and lenders in case of discom defaults. The Union Budget for 2023-24 increased budgetary allocation by 48 percent over the revised estimate of FY23 to Rs 73.27 billion for Solar power grid, off-grid, and KUSUM projects. Amidst the Covid pandemic, MNRE extended support to developers by granting a total extension of 7.5 months for all solar projects. In March 2022, MNRE extended the timeline for the mandatory use of modules from the Approved List of Models and Manufacturers (ALMM) for open access/net-metering projects from April 1, 2021, to October 1, 2022, providing relief to the open access and solar rooftop segments. Additionally, the Ministry of Power allowed the bundling of thermal power and renewable energy within existing Power Purchase Agreements (PPAs), aiding in the goal of achieving Panchamrut targets and shifting the burden from discoms to generators for tying up renewable energy. MNRE has made several amendments to bidding guidelines and simplified procedures to encourage faster adoption of solar power. In September 2022, MNRE's move to consider Basic Customs Duty (BCD) on the import of cells and modules as a 'change in law' event could lead to a tariff increase for some projects, offering partial relief. Infrastructural challenges have impacted execution momentum in solar intermittently, though the problem is more acute in wind. Resolution of infrastructural issues is critical, where ~53% of pipeline SECI projects for which PPA has been signed are delayed due to transmission and infrastructural issues. Along with this, land issues remains another crucial area since 3.3 lakh acres of land has been utilized for solar projects and additional capacity of 21 lakh acres is still required to meet Government targets by 2032. Additionally, the Ministry of Power announced that the Interstate Transmission System (ISTS) waiver on solar projects commissioned after June 2025 will be phased out gradually until June 30, 2028, potentially impacting the final cost of solar power to utilities and customers. In summary, while India's solar power sector has thrived on supportive policies and initiatives, policy consistency across states and also between the solar energy development and solar supply chain segments is needed along with a focus on quickly ramping up associated infrastructural resources.

Input related risk:

Solar power, characterized by its intermittent nature, is highly sensitive to variations in Plant Load Factor (PLF), which can significantly impact returns. However, Pan-India PLFs are estimated to fall within the range of 18-21 percent, aligning with expectations. Leading developers such as Adani, and ReNew have consistently reported PLFs upto 25-26% over the past 1.5 years on average. In addition to robust PLFs, declining capital costs have further bolstered project developers' returns. Capital costs witnessed a decline and stabilised around Rs 40-45 million/MW with the decrease in module prices. However, lending rates saw a further increase in December 2023, with SBI MCLR rates rising from 8.55% in November 2023 to 8.65% in December 2023 and remained unchanged till March 2024. Module prices started to fall in 2023 owing to the ramp-up in the production of upstream components. Prices of modules fell to \$0.15-0.20 in 2024 from \$0.23 in January 2023. This has eased some pressure on capital costs in fiscal 2024, resulting in capital costs coming to Rs 40-45 million/MW. Prices of monofacial module had touched USD 0.20 wp by Q4 of fiscal 2024. CRISIL MI&A Research projects module prices to be in the range of USD 0.21-0.23 per watt-peak and USD 0.22-0.24 per watt-peak for imported and domestic mono-crystalline respectively in fiscal 2025 owing to limited room for discount at the manufacturing end. This will mark a decline of 18-22% year-on-year. Also, solar glass pricing, another key input to modules, was also lower on-year owing to falling prices of soda ash on account of low demand. While the long term end-market demand remains strong amidst the renewable energy target of tripling capacity, the present oversupply is expected to persist in fiscal 2025. Another emerging risk is the deterioration in payment track records among discoms, where outstanding amounts owed to Renewable Energy (RE) generators have remained high, posing payment risks to the sector

Extent of competition:

While the central government (NSM Phase II) and various state governments are expected to allocate significant capacities, we anticipate that stiff competition will persist. The entry of globally established players with access to cheap capital and economies of scale led to aggressive bidding in late fiscal 2021 and the first half of fiscal 2022. Furthermore, with the participation of large conglomerates and



well established global solar companies, coupled with low input costs and fund availability, competition intensified. However, significant consolidation activity in the sector over the past 1-2 years has limited competition to a pool of 10-15 players, with not all participating in each auction. This rationalized the aggressiveness in bidding to some extent, as players recognized the implementation risks associated with the tariffs they bid for. Additionally, cost pressures in fiscal 2023 resulted in an upward trend in solar tariffs, reaching Rs 2.79 per unit, with developers factoring in price volatility risk due to supply shortages. The anticipated cooling of commodity prices in fiscal 2024 has led to only a marginal decline in bid tariffs to Rs 2.61/unit. We expect tariffs to remain in the same range of Rs. 2.5-2.6 per unit in fiscal 2025 as developers tread cautiously in a changing environment for solar module supply.

12.	Evaluation of Business Risk	:	Relevant, brief, major risks/mitigants shall be mentioned in Bullet Points only.
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- Diversity in customer base and products: No diversity as per specific nature of business. i.e. Solar power.
- Market share of the company's main products: Very minor
- Availability of raw material: Satisfactory.
- Selling and distribution arrangement: Borrower has entered into power purchase agreement with Dr Reddys laboratories Limited for its total installed capacity and period is for 20 years as per their agreement in the year 2013.
- Technology issues if any: Nil
- Any other issues related to business of the company: Nil

12.1. Measuring Physical & Transition Risk (ESG)

Physical Risk

SI No	List of Primary and Collateral Security including Office Premises	Location (With exact Pincode)	Any Vulnerability like Flood/ Draught/ Cyclones observed in the Past	Remarks
01	Primary security land and P &M	Alair- 508101	No	Nil
02	Collateral security at Hanmakonda, Jammikunta, Khammam city	Hanmakonda-506001 Jammikunta-505122 Khammam- 507001	No	Nil

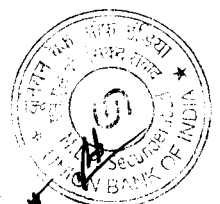
Transition Risk

Whether the company measures Scope 1, Scope 2 and Scope 3 Emissions? : NO

If Yes provide the below details:

	Scope 1 (in Metric Ton)	Scope 2 (in Metric Ton)	Scope 3 (in Metric Ton)	Total (in Metric Ton)	Remarks
Emission					

If No, please specify the reason for not measuring: Unit is green energy i.e. Generation Solar energy



13.1	CONDUCT OF THE ACCOUNT	:			
	Regularity in submission of		Yes/No	No. of Statements / Return recd. During the year	Last Stat. / Return recd
	-Stock Statements / Book Debt Statement	:	Yes	03	June-2024
	-MSOD	:	YES	03	June-2024
	-QPR Statements / Half Yearly Statement	:	NA	NA	
	-Financial Statements & Date of Receipt of Audited Financials	:	YES	ABS31.03.2023	
	-CMA Data	:	Yes	CMA submitted for FY2023-24, FY2024-25	

Availability of Adequate Drawing Power: Yes

13.2 Comments on invocation of BG/Devolvement of LC, wherever applicable: NOT APPLICABLE

13.3	Comments on Operations / Overdues	:	
(Rs. In LAKH)			

Particulars	Previous Year	Current Year
	(2023-24)	(2024-25 till June24)
Credit Turnover	830.13	117.22
Sales	652.79	860.14(year)
% of credit turnover to sales	127%	54.52%
Maximum Debit Balance	101.07	101.20
Average Debit Balance	86.78	99.94
No. of days in debit	181	18
Inward cheque return (No.)	0	0
Outward Cheque return (No.)	0	0
Number of Bills purchased	NA	NA
Amount of Bills purchased	NA	NA
Bill Returned unpaid	NA	NA
Amount of bills returned unpaid	NA	NA
Number of LC issued	NA	NA
Amount of LC issued	NA	NA
Number of BG issued	NA	NA
Amount of BG issued	NA	NA
No. of occasions excesses/ TOD allowed	NA	NA
Maximum Excesses/ TOD allowed	0	0
Any other parameter	NIL	NIL

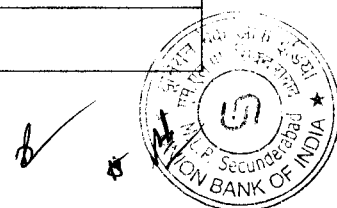
- Comments on overdue in EDPMS and IDPMS: Not applicable

[Rs. in Crores]

B-Cat. Branch	EDPMS		IDPMS			
	Overdue Shipping Bills Count	Overdue Shipping Bills	Overdue ORM Count	Overdue ORM	Overdue BOE Count	Overdue BOE
			NOT APPLICABLE			

13.3.1 In case excess is allowed: No Excess allowed

S. No.	Particulars	Details
i)	Under whose DA excess given	
ii)	Whether excess allowed are reported to controlling office	
iii)	Whether excess allowed confirmed or not	
iv)	In case of repeated excess despite no confirmation by RO, whether branch head advised suitably	



13.4. Value of account (During Financial Year):

(Rs. in_ lakh)		
i) Advances:	Previous Year (2023-24)	Current Year (2024-25)
- Interest Income	78.66	16.53
- Fee based Income	0	0
ii) Income from Third party products	0	0
iii)Retail / Consumer / Finance [to employees associates]	No. of Accounts	Amount
	0	0
iv)Deposits:	Amount	Tenure
- Own	26.00	26.00
- Third Party		00
Ancillary Business to Bank	Has employees 15 saving accounts with us	
- Comments, if any		

13.5. Current accounts held with other Banks:

Sl. No.	Bank Name	Current account held since (dd/mm/yyyy)	Reasons for maintaining the current account
1.	No current account with other banks , as per CRILC data dt 25.06.2024		
2.			
3.			
4.			

13.6. Consortium / Multiple Banking arrangement meeting and Gist of Discussions:

Dates for	
Exchange of information	30.06.2024
Consortium meeting	29.06.2024

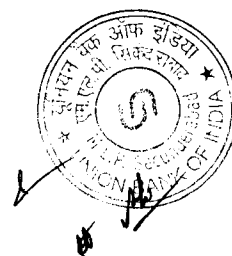
Notes:**Gist of Last consortium / Multiple Banking arrangement meeting:**

- Company has requested for release of 5 collateral securities due to family portion issues.
- Karur Vysya Bank Ltd agreed for giving No objection certificate for the release of the collateral after Lead Bank approves the same. and same was agreed by both the banks.

13.7	Clean Corporate Lending through rigorous diligence and appraisal for sanction	:	(Relevant information and updates should be provided)
i.	Ensure before disbursement that necessary regulatory clearances / approvals are in place	:	Not Applicable. (For project loans below Rs 50.00 Cr)
ii.	Appropriate backward and forward linkages	:	
iii.	Scrutinize Group balance sheet and ring fencing of cash flows	:	
iv.	Consider Non Fund Based and tail risk embedded in project financing	:	

14.1	DETAILS OF THE FOREIGN CURRENCY EXPOSURE, COMMENTS AND UNHEDGED PORTION, IF ANY (From all Banks / FIs maturing within current & next Financial Year)	:	Not Applicable
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14.2 Whether the provision maintained by the Bank : Not Applicable towards unhedged exposure is factored into pricing. (Latest provision amount to be captured from Finacle through UFCE menu)



Details of Provision and Capital maintained by the Bank in the previous quarters due to Unhedged Foreign Currency Exposure (UFCE) of clients

Parameters	June Quarter	September Quarter	December Quarter	March Quarter
Additional Provision, if any	NOT APPLICABLE			
Additional Capital, if any				

14.3 Derivative Limit details

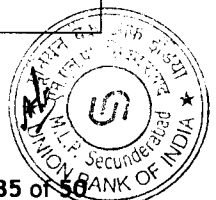
: Nil

15. Comments on Latest Inspection / Due diligence report:

Particular	Date of last inspection	Remarks
Last inspection of factory / stock / assets, etc including other banks should be specified / comments	Branch has inspected the unit on 28.03.2024	Unit is functioning
Due Diligence report of properties	Branch head inspected the Collateral securities on 25.06.2024	As per report there is no adverse remarks.
Technical Inspection	NA	NA
Inspection of Primary security	28.03.2024	
Inspection of Collateral security	25.06.2024	Properties has clear boundaries and easily marketable

16.AUDIT OBSERVATIONS (Pending for compliance)

Particulars of Audit	Observations	Date of Audit Report	Branch Replies	Date of COR	Present status
a) RBI Inspection	No RBI audit				
b) Internal	Nil	19.10.2023		08.05.2024	
c) Concurrent	May 2024	No adverse observations			
d) Statutory	Apr2024	No adverse observations			
e) Stock Audit (Including comment on comparison of stock/book debt position as per stock audit and as per statement submitted to the bank for the relevant period)	Not applicable				
f) BG Audit	Not applicable				
g) Legal Audit (as per circular letter no.2674-2018 dated 12.10.2018)	23.04.2019	Given by panel advocate M Kanaka Durga- No Adverse observations. Property pertaining to primary security i.e. land where the Solar PV plant is located is not included in report and the report is not in the approved format. MLP Comment: Branch to obtain fresh legal Audit report from panel advocate as per approved format and applicable guidelines issued vide Information Circular No 5767 dated 22.02.2022 and ensure that all applicable primary and collateral securities are included in the report.			



17. Comments upon appointment of ASM in applicable cases and date of last report received (if applicable): not applicable

Date of Report	Irregularity	Action Taken

18. Status of Leakage of Income, if any pointed out in various audits: No audit

Nature of leakage	Pointed out during	Status of Recovery of LOI

19. Any irregular feature observed in the monitoring report: nil

Date of Report	Irregularity	Action Taken

20 For credit exposure of Rs 50 crore and above: Comments on CCM, CO based on review of Monthly Credit Monitoring Report to be incorporated.

20.1	Comments on presence of RBI Early Warning Signals	:	NA
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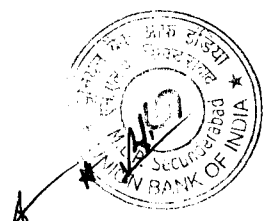
21.	Comments on Assessment of Limits	:	Limits assessed under turnover method.
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21.1	Business model / working of concern (including details of top 5-10 debtors and creditors)	:	1. dr reddy's laboratories
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Whether A/c is taken / to be taken over. If so norms for takeover are fulfilled		:	Not applicable			
21.2	Projected Level of Sales (Comments on financial projections accepted during last sanction vis-a-vis actual)	:	FY22-23	Estimates	Actual	Achievement
			Net Sales	**825.53	650.38	78.78%
			PAT	21.49	19.47	90.60%
			**Estimations for 31.03.23 submitted during last renewal sanction and were estimated at higher level taking into consideration REC certificate sales of Rs.300.53lakh however actual REC sales are Rs.91.08 lakh due decrease in rate of REC price and in demand in market. However power sales are increasing year on year.			

21.3	Comments on Inventory / Receivable	:	Not applicable
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21.4	Comments on Industry norms as per approved rating agencies on holding levels of Raw Materials, Stock in process, Finished goods, stores, Receivables and Sundry creditors:	:	Not applicable as credit limits are less than Rs 50.00 Cr.



21.5	Working Capital Assessment	:	Turnover Method		
	Turnover Method		Aud.	Povisinal	Estimate
			31.03.23	31.03.24	31.03.24
	A. Turnover		650.38	652.79	860.14
	B. 25% of (A)		162.59	163.19	215.04
	C. Margin Required at 5% of (A)		32.52	32.64	43.00
	D. Eligible Limit (B - C)		130.07	130.55	172.40

Borrower is getting the eligibility for the requested CC limit of Rs 100.00 lakhs, branch has recommended for renewal of CC limit at existing level of Rs 100.00 lakhs, we recommend for renewal of CC limit of Rs 100.00 lakhs with 25% margin receivables not older than 90days.

21.6	Assessment of Non-Fund Based Limits	:	
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Indicative assessment of Bank Guarantee: **not applicable**

Indicative Assessment for Foreign Letters of Credit: **Not applicable**

Indicative Assessment for Inland Letters of Credit: **not applicable**

21.7	Term Loan	:	<i>Mention below</i>
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21.7.1. SANCTION OF FRESH TERM LOAN: Not applicable as no Fresh Term loan required,

21.7.2 REVIEW OF EXISTING TERM LOAN:

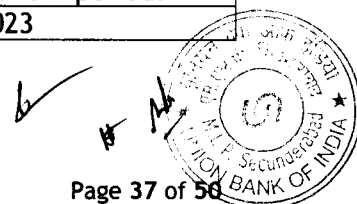
Company was sanctioned TL -I of Rs. 7.09 crs, TL-II of Rs. 11.90 crs sanctioned in March 2013 in consortium with Karur Vysya Bank Ltd. & TL - III of Rs. 3.90 Crs, CC limit of Rs 1.00Cr in Aug 2016 exclusively by our bank.

Borrower was latest approved restructuring of existing TLs under Resolution framework 2.0 for MSME advances up to Rs 25.00 Cr, Covid-19 related stress of MSMEs vide RLCC Note RO/KOTI/HYD//AT//255/2021-22 dated 27.07.2021 in the RLCC-1 meeting dated 27.07.2021, meeting no:31, agenda no: 01 :

Borrower limits were latest renewed by MLP koti vide MLP Note Ref no. MLPHK:SY:2022-23:940:358 Dt.31.03.2023 meeting no.76, agenda no 02

Review of the TLs as per approved restructuring norms is mentioned hereunder:

Particulars	TL-I	TL-II	TL-III
Limit sanctioned	Rs 709.00 lakhs	Rs 1190.00 lakhs	Rs 390.00 lakhs
Restructured amount	Rs 112.90 lakhs	Rs 254.20 lakhs	Rs 216.40 lakhs
Repayment schedule (As per restructuring sanction.)	Moratorium for a period by 24 months i.e, from August 2021 to July 2023 and repaid in 16 Quarterly instalments of Rs 7.00 lakhs each. i.e, repayment commencing from August -2023 and closes by May 2027.	Moratorium for a period by 24 months i.e, from August 2021 to July 2023, and repaid in 16 Quarterly instalments of Rs 15.88 lakhs each. i.e, repayment commencing from August -2023 and closes by May 2027	Moratorium for a period by 24 months i.e, from August 2021 to July 2023, and repaid in 16 Quarterly instalments of Rs 13.50 lakhs each. i.e, repayment commencing from August -2023 and closes by May 2027
	Interest is to be serviced as and when debited even during the moratorium period.	Interest is to be serviced as and when debited even during the moratorium period.	Interest is to be serviced as and when debited even during the moratorium period.
Due date of 1st	Aug-2023	Aug-2023	Aug-2023



instalment			
No. of instalments due	04	04	04
No. of instalments collected	04	04	04
Required outstanding as on 30.06.2024	Rs 84.00 lakhs	Rs 190.65 lakhs	Rs 162.30 lakhs
Present outstanding as on 30.06.2024	Rs 83.76 lakhs	Rs 190.65 lakhs	Rs 162.30 lakhs
Overdue	Nil	Nil	Nil

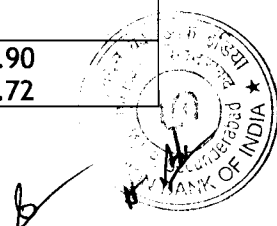
In view of the above, as there are no overdue in TL and borrower is regular in repayment of interest and principal , we recommend for TL reviewed with Nil overdue at present outstanding level.

24.	Any other matter/ Miscellaneous Requests	:	As below
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1. release of five Collateral securities:

Detail of collateral securities are released.

S No	Nature / Description of collateral Security	Value Accepted As per last sanction	Dt. & Value of Property along with name Valuers, if required
1	Residential building in G+2, extent 395 Sq yards bearing HNO.11-27-2-A-2(Old),11-27-86(old),11-27-52/2(New), 1 st Bank Colony, Kothawada, Warangal City. Warangal dist, belonging to Sri. Rammurthy NakirikantiS/o late Ananthaiah	190.66	FMV:211.84 NRV:190.66 DV:148.29 11.08.2021 A S Prakash Babu, Prakash Associates.
2	Residential bldg in G+2,extent 402.38 Sq yards bearing H NO.11-27-2-A-2(Old),11-27-86(old),11-27-53&54(New),1 st Bank Colony, Kothawada, Warangal City. Warangal dist belonging to Vishweshwar Rao Namboori and Charumathi Namboori	189.68	FMV:210.76 NRV:189.68 DV:147.53 11.08.2021 A S Prakash Babu, Prakash Associates.
3	House property (G+2) with a plinth area of 1756 sft, extent of the plot 1650 Sq Ft, bearing No.669, 8 th A main road, 2 nd cross, 3 rd stage, in Block III, Near Panacea Hospital at Basaveshwar Nagar, Bangalore belonging to N Laxmi Shyama Sundari	251.00	FMV:279.00 NRV:251.00 DV: 223.00 16.08.21 S R Nanda Kumar
4	Extension of residential land and building, extent 266 sq. Yards on Plot No.165 in survey no.74/12 or part of GLR no.396 situated at sanction layout of CBR no.72 dt.27.12.1977 of TriMoorthy Weaker Section Co-op Housing society situated at East Marredpally, Secunderabad, Cantonment belonging to Mr Ananth Nakirikanti (Existing Hl-013930100024131 -O/s-Rs-2.21 lakhs 013930100019740-O/s-Rs.38.76 lakhs total Rs. 40.97 lakhs, 200% on total is Rs.81.94 lakhs. Residual value= 302.74-81.94= 220.80)	220.80	FMV:378.43 NRV:302.74 DV: 264.90 19.08.2021 A S Prakash Babu, Prakash Associates.
5	Commercial open site admeasuring 776.84 sq. yards (As per sale deed extent is 776.84 Sq yards, after	192.72	FMV:240.90 NRV:192.72



S No	Nature / Description of collateral Security	Value Accepted As per last sanction	Dt. & Value of Property along with name Valuers, if required
	deducting road widening area the net area is 535.33 Sq yards) located at Sy. No. 152, 154, 155,156/1, 157 158, 159 & 288/1 Plot No. 8. Adj. To By-pass Road, opp. BSNL Office, near Hanuman Temple & Veterinary Hospital and fly over bridge beside door No. 10-6-186/5 Burhanpuram Area of Khammam Municipal Corporation Limits, Khammam belonging to Sreelatha Perumalla already held with our BSC complex branch for the credit facilities of Sai Sri Perumalla Filling station, limit of Rs 0.10 Cr closed on 25.06.18.		DV: 168.63 11.08.2021 A S Prakash Babu, Prakash Associates.
	Total	1044.86	

➤ **Justification for release of above securities:**

- Company exposure reduced to Rs.5.37 Crore from Rs.6.84 Crore
- After release of above securities proposed collateral coverage is 166.46% which is above 100%
- Prime security value of Rs. 17.56 Crores (NALA land value) which is mortgaged to bank excluding P&M.

Hence we recommend for release of above five securities.

2. Ratification of branch action on :

- Renewal of CC limit on 14.06.2024 for a period of 1year
- Review of TL1,TL2 &TL3 on 15.06.02024 for a period of 3 months.

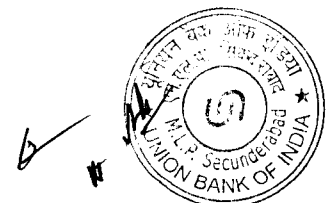
Company limits were last renewed on 31.03.2023 and the limits fell due on 29.03.2024. As there was delay in submission of renewal documents, branch has done review of cc limits on 14.06.2024 for a period of 1year and Terms loans on 15.06.2024 for a period of 3 months. We recommend the same.

25. CAPITAL COST (Applicable for credit limits of Rs.100 crores and above or wherever concessionsis involved)

25.1CAPITAL COST (Both FB & NFB)

Credit Facility	Amount	Amount - Margin	External Credit rating	CCF	Risk Weight	Capital @ ____%	Cost of capital @ ____%
Total							

Not Applicable



25.2 RAROC Summary

RAROC Summary Borrower Level		
Name of the Borrower	Arhyama Solar Power Pvt Ltd	
Hurdle RAROC	12.20%	
	Actual RAROC	Proposed RAROC
After Tax Risk Adjusted Income (In CR)	24.64	0.10
Capital Consumed/Requirement (In Cr)	0.82	0.48
RAROC of the Borrower	3016.81%	21.92%
RAROC Zone	GREEN	GREEN
Shortfall, if any, to achieve Hurdle RAROC(In Cr)	Not Applicable	Not Applicable
RAROA of the Borrower	417.62%	2.74%

26.	Recommendations	:	(Including positive factors & Risk factors foreseen, if any)
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In view of the above and recommendation of the branch, we recommend for sanction of the following Credit facilities to M/s. Arhyama Solar Power Pvt Ltd along with other approvals as per Terms & Conditions mentioned in this Appraisal Memorandum:

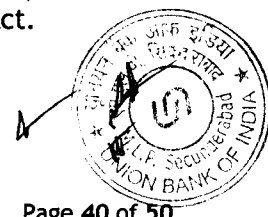
Nature of Limit	Amount		Margin	Int./ Comm.	Security
	Existing	Proposed			
Fund based					
CC	100.00	100.00	25%	EBLR+2.00%-0.50%	Hypothication of receivable not older than 90days
TL 1	112.90	83.76	25%	EBLR+2.00%+0.10%-0.50%	Hypothecation of Assets created out of TLs mentioned point no. 8.2
TL 2	254.20	190.65	25%		
TL 3	216.40	162.30	25%		
TOTAL	683.50	536.71			

- Release of Five Collaterals to be taken up next sanctioning authority i.e.RLCC1.

27. Terms and conditions:

Specific Terms and conditions:

- All MLP Comments mentioned in the note shall be complied with
- Branch has to ensure that similar approval (NOC) from Karur Vysya Bank to be obtained for release of Collateral securities and same has to be kept on record.
- Release of collateral securities subject to approval for release of collateral securities from RLCC1.
- Periodic DBC is to be obtained as per the extant guidelines.
- CERSAI registration to be completed on the prime and collateral security for working capital and TL limits, acknowledgement with respect to compliance of the same is to be held on record immediately.
- Processing charges for both CC and TL limit and all other applicable charges to collected immediately as per the applicable guidelines.
- Branch to ensure that exchange of information is obtained from member bank, KVB as per applicable guidelines and consortium meeting shall also be conducted as per applicable guidelines and minutes of meeting to be held on record.
- Branch to obtain undertaking from borrower that the Company and Directors are not in the list of RBI defaulters' / Central Fraud Registry / caution list of exporters / wilful defaulters /ECGC SAL List.
- Branch to ensure that the properties offered as securities are having clear, valid and marketable title. Further the properties shall be enforceable under SARFAESI Act.



- Branch to ensure that the mutation is completed for all the properties in the name of the mortgagor and ensure that the boundaries, extent of area, ownership are same as in title deed, legal opinion and valuation and property due diligence report of the branch.
- Branch to obtain latest tax receipts, ECs of the properties and ensure that the bank name is appearing as mortgagee.
- Branch to ensure that the insurance is done for the prime and collateral securities as per extant guidelines and validity of the policy is in force.
- Branch to ensure that all the assets and liabilities are taken into consideration while arriving the means and satisfy themselves.
- Branch to obtain an undertaking/declaration from borrower and partners that they are neither director nor related to director of our Bank or other Bank.
- Branch to obtain a declaration that no litigation is pending against the Company or Directors.
- Branch to ensure that the MMR report is submitted on periodical basis.
- Solar Plant Unit and collateral securities inspection are to be conducted on periodical basis as per extant guidelines.
- Book debt statement to be obtained on monthly basis location wise and CA Certified book debt statement to be obtained on quarterly basis as per guidelines.
- Undertakings as per Annexure-II to be obtained.
- All terms and conditions as per Annexure-I are to be complied with.

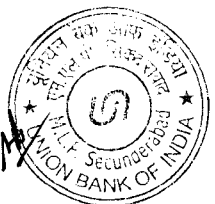
Referred to MLCC - I


(A Thirupathi)
Senior Manager




(C Madhu Mohan Reddy)
Chief Manager


(B Shyam Prasad)
Asst General Manager



Standard terms and conditions

Annexure-I:

1. KYC Compliance and Due Diligence

Branch to confirm that KYC/AML norms have been complied with and due diligence exercise carried out and report submitted before release of credit limits.

2. Site Visits

- i. Officials of bank to inspect the unit on regular intervals and satisfactory report be held on record

3.Environmental clearances

- i. In case of industrial units, permission and clearances to be obtained from pollution control board.
- ii. Necessary clearances to be obtained from industry department and local authorities as applicable.

4. Documentation

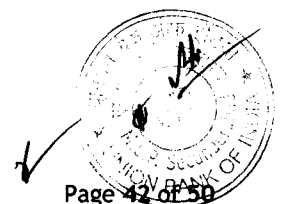
- i. Branch shall obtain the confidential report about the borrower from existing bankers and the same should be found satisfactory before release of the facility.
- ii. Branch to inspect the property and due diligence report and inspection report be kept on record.
- iii. Branch to obtain latest valuation reports on the properties offered as collateral security from our Bank's Panel Valuer as per extant guidelines
- iv. Applicable Security documents to be obtained from the borrower and guarantors.
- v. Search report from two empanelled advocate in case of property having value more than Rs 2.00 Cr and valuation report from two empanelled valuer to be taken in case of property value Rs 5.00 Cr and above as per extant guidelines.
- vi. In case of companies/trust/societies, documents to be executed by authorized persons as per resolution. Company resolution to be obtained for taking finance from bank.
- vii. Common Seal of the company be affixed on the documents as per authorization (to be Governed as per extant regulation of Companies Act).
- viii. Certified copies of memorandum of association and articles of association of the company be kept on record.
- ix. The Borrower and the Guarantors shall furnish a consent letter to the Bank in the prescribed format authorizing the Bank for disclosure of their names, in the event of the Borrower becoming defaulter, to Credit Information Companies / Information Utilities like NeSL / other agencies as per CICRA / RBI / Statutory guidelines.
- x. In case of company, the borrower and the guarantors shall submit an undertaking that no consideration whether it be by way of commission, fee, brokerage or in any other form shall be paid by the former or received by the latter either directly or indirectly in regard to the personal guarantee furnished by directors of the borrower company.
- xi. Legal Entity Identifier (LEI)/GSTIN to be obtained in applicable cases.

5. Warranties, undertakings & guarantees to be made by the Borrower

- i. Share application money to be converted into equity. Borrower to give undertaking giving specific date by which it is to be converted into equity. (in line with the sanction stipulation)
- ii. Statutory dues, if any, to be paid by borrower before disbursement of the loan.
- iii. Declaration to be obtained from the borrower that the level of unsecured loans will be maintained at the existing level in the business on a long term basis during the currency of the Bank's loan.
- iv. Personal Guarantees of partners/ promoters/directors/guarantors/owners of mortgaged property to be obtained as per stipulation.

6. Creation of security interests and charge

- i. Search to be conducted from ROC in case of companies for ascertaining the charges on its assets and report to be held on records.



- ii. Our bank's charge to be registered with ROC within 30 days of documentation for limits & securities and certificates to be held on record.
- iii. Our Charge with CERSAI to be registered on immovable / movable properties as per extant CERSAI guidelines.

7.Vetting

- i. Security documents to be vetted by law officer/Bank's advocate/Branch Head as per extant guidelines.
- ii. Legal Audit to be done as per extant guidelines in eligible cases.

8. CPA (Credit Process Audit)

In case exposure is Rs.1.00 Crores or above, CPA (Credit Process Audit) to be conducted and compliance of all pre-disbursement sanction stipulations be confirmed before disbursement

9. Insurance

- i. The borrowers are solely responsible for obtaining adequate insurance for primary securities/collaterals, if any, as per the Bank's guidelines.
- ii. The borrower's assets offered as security (prime and collateral) for the facility to be kept fully insured comprehensively for 110% of assets value. A copy of the policy to be submitted to the bank. A list of the current insurance policies alongwith copies thereof to be submitted to the bank detailing therein the names and addresses of the insurer, brief particulars of goods covered, type of cover, amount of cover and date of expiry of each policy. Insurance policies to contain the agreed bank's clause.

10. Tie up for Equity

- i. Borrower to demonstrate to the bank that satisfactory arrangements have been made for tie-up by way of equity from the promoters / private equity players / strategic investors / other investors/ internal accruals.
- ii. **Commitment Charges**
Branch to follow the extant guidelines on service charges.

1. CONDITIONS SUCCEEDING DISBURSEMENT
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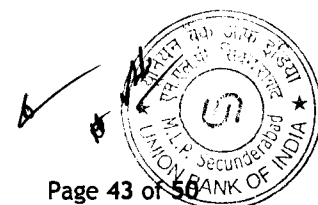
a. Compliance Certificate

- i. Branch to submit compliance certificate for having complied with all the terms of sanction to controlling office within 10 days from the date of release of the credit limits
- ii. The borrower to display a board in prominent place in the project/office premises indicating that the assets/stocks are hypothecated to bank.
- iii. Borrower to authenticate the details of borrowing to Registered Information Utilities (IU), like National e-Governance Services Ltd (NeSL). Necessary charges in this regard are to be borne by the borrower.

Status "Deemed to be Authenticated" (by NeSL): As per Gazette Notification no. No. IBBI/2019-20/GN/REG046 on 25th July 2019, corporate debtor remains recalcitrant and does not take any action to authenticate information presented (i.e. does not respond even after 3 reminders (emails) to it by NeSL-IU) IU (NeSL) will record the status of authentication as "Deemed to be Authenticated" as Yellow colour in the record.

b. Interest Servicing

- i. Interest will be charged on monthly rests and is to be serviced as and when charged in the account.
- ii. In case the borrower pays higher rate of interest/charges/commission to any other financing bank/FI in the consortium, endeavor should be made to charge the same by our Bank in line with the leader in consortium / multiple banking. All other terms and conditions stipulated by other financing banks/FIs shall also apply "mutatis mutandis"



- for our share of credit facilities. Branch to obtain the copies of sanction letters from other Banks in the consortium for comparison of sanction terms
- iii. Interest as stipulated will be / will continue to be charged with monthly rests. The bank reserves the right to give notice at any time and thereafter to charge such other rate of interest as the Bank may decide depending upon revised credit rating of the borrower based on its audited annual balance sheet.
- iv. In case of account under EBLR regime, The Credit facility is floating in nature. Applicable Rate of Interest = External Benchmark (RBI Policy Repo Rate) + Spread + Credit/Strategy Risk Premium The prevailing components are as under:
- RBI Policy Repo Rate (A):
 - Spread (B):
 - Credit/Strategy Risk Premium (C):
 - Total Applicable Rate (A+B+C):

(Branches have to mention the applicable Spread and Credit/Strategy premium at the time of the sanction of loan.)

External Benchmark (RBI policy Repo Rate)-It will be reset at bimonthly intervals on the 11th day of the respective month in which the RBI's Repo rate is reviewed/changed. It can be either increased or decreased based on the RBI monetary policy committee decision.

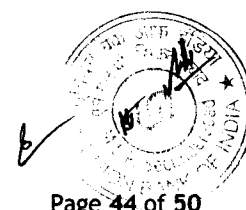
Spread - The spread once applied at the time of availing the loan will remain fixed for three years from the date of sanction and subsequent reset will be done after every three years at the prevailing spread of the Bank at that point in time.

Credit/Strategy Risk Premium - The reset of Credit/Strategy Risk premium of different categories of loans will be fixed at the time of review/renewal of credit facilities based on the credit quality of the borrower.

- v. Borrower to route all cash flows through accounts with our bank/lead bank. Sales invoices of the borrower to mention our bank/lead bank account details for direct deposit by the customers of the borrowers.
- vi. Interest, Commission and other charges are subject to variation as may be notified by our Bank from time to time / in line with RBI directions / other statutory guidelines

c. Review of Internal and External rating

- i. If the review of internal rating is not carried out within a period of maximum 12 months from the date of last review of rating,
- All the **concessions**, if any, shall be **withdrawn immediately**
 - and
 - Applicable interest rate linked to internal rating of **one notch below** shall be charged.
- ii. If external rating of borrower is downgraded:
- From investment grade (AAA/ A1+, AA/A1, A/A2, BBB/A3 or equivalent) to noninvestment grade (BB/ A4 & below, including "D").
 - From BB/A4 to lower grades, including "D"
- Then, the following will be applicable:
- a) All existing concessions should be withdrawn immediately.
 - b) Interest rate as applicable to UBC/CR-6 & BB/A4 and below is to be charged as per the extant interest rate circular.
 - c) Early review/ renewal with revised internal credit rating based on Audited Balance Sheet (ABS) may be taken up with sanctioning authority for revision of pricing and for other risk mitigations.



d. Dynamic review of Internal Rating

Dynamic review of internal rating shall be carried out for all listed entities on a quarterly basis. In case of downgrade of Internal Rating, Bank is authorized to take the specific loan related actions / mitigants (case to case basis) as under:

- Stipulating additional collaterals
- Infusion of equity
- Reset of interest rate
- Loan facility adjustment
- Reduction of limit
- Any other appropriate action

2. OPERATION - CASH CREDIT LIMIT

1.Submission of stock and book debt statements

- i. The Borrower shall submit the monthly stock and book debt statement, to the Bank by 15th of subsequent month. The delay in submission of Stock Statement attracts penal interest@1% subject to maximum 2% over and above the interest rate charged.
- ii. The stock and book debt statement shall contain the full details of stocks, debtors (agewise), creditors (actual level) acceptances & details of usance LCs opened and insurance details, as on date of stock statement.
- iii. The book debt statement shall indicate the debts outstanding up to 90 days and above for different slabs separately. Quarterly certificate (with UDIN) for verification of Book debts by Chartered Accountants should be submitted for working capital limits of Rs.1 crore and above.
- iv. The outstanding borrowings at all times be fully covered by the drawing power based on monthly Stock and Book Debts Statement. If at any time, the drawing power falls below the amount borrowed, the Borrower shall forthwith adjust such excess borrowings.
- v. Letter of no lien and free access be obtained from the owner of premises in case the goods are stored in rented premises.

2. Basis of Valuation of Stock

- i. Book Debts: At realizable value

3.Drawing Power

- i. DP to be allowed against paid up stock and eligible book debts.
- ii. Book debts for more than 90 days will not be considered for the purpose of DP unless otherwise approved by the Bank. Book debts more than 90 days/unpaid stocks will continue to be the part of the prime security. The stock under D.A LC shall not be reckoned for arriving drawing power. The creditors/acceptance(unpaid stock) shall be reduced while arriving at drawing power.
- iii. Drawing power allocated by lead bank to be ascertained monthly in case of consortium advance.

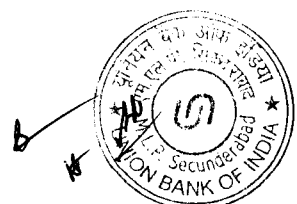
4.End use of funds

- i. Cash credit limit to be utilized only for working capital purpose for genuine business transactions in which the party deals.
- ii. No diversion of funds to be allowed for non business transactions or creation of fixed assets.
- iii. Branch to ensure proper end use of funds.

3. CASH CREDIT- GENERAL TERMS

1. Commitment Charges

Branch to follow the extant guidelines on service charges.



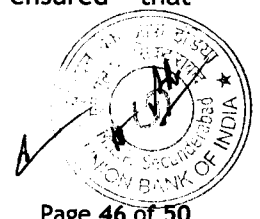
- i. Intra group transfers not to be allowed unless and until it is a genuine trade transaction in which the borrower deals.
 - ii. No excess over limits to be allowed
 - iii. Borrower under sole Banking to exclusively Bank with us and shall submit an undertaking to this effect.
 - iv. Borrower to maintain adequate books of accounts which should correctly reflect its financial position & scale of operations and not to radically change its accounting system without prior notice to the Bank.
2. If any of the conditions spelt out hereunder are observed in the borrower account, the same will attract Penal Interest of 1% p.a. each subject to maximum of 2% p.a. (Wherever applicable)
- i. Non-compliance of terms of sanction. Till such time the terms are complied with.
 - ii. Non-Submission/delayed submission of Stock Statements: submitted after 15th of the subsequent month.

In respect of the following, 2% Penal Interest to be charged (Wherever applicable):

- i. Return of Cheques Purchased/Discounted: from the date of purchase till adjustment
- ii. Return of Bills Purchased/Discounted: from the date of purchase till adjustment.
- iii. Non submission of Audited Financials in time: Penal Interest to be charged from 15th November (for unlisted companies) and from 15th July (for listed companies) till the date of submission.
- iv. Delayed submission of CMA/Renewal data (for the period beyond due date)
- v. Delayed payment of Term Loan/DPGL installments: for the period of delay in respect of the installments delayed.

10. CREDIT MONITORING

- i. Branch/RO to monitor the account regularly.
- ii. Periodic inspection to be carried out by the branch officials to satisfy themselves about end use of funds and to ensure project implementation as per schedule and hold report on record. Alert to be exercised and corrective measures be taken immediately in situations where progress is not as planned or any misuse of funds is noticed.
- iii. Quarterly technical and financial progress reports to be submitted by the borrower to bank until the completion of the Project.
- iv. Borrower to submit the audited annual financial statements at the end of the Financial Year during the currency of the loan, but not later than 31st October (unlisted companies) / 30th June (listed companies) every year.
- v. Branch to carry out periodic inspection of securities regularly and submit report to the controlling office. Inspection report to be submitted in LAPS. M-6 Godown inspection report must be submitted on quarterly basis.
- vi. Party to submit QPR (Quarterly Progress Report) as per schedule where limit is Rs. 5 crore or more. Non-submission will attract penal rate @ 2% p.a.
- vii. Branch to submit MCMR as per bank's guidelines to the respective authority.
- viii. External credit rating to be obtained annually from accredited Rating Agency where exposure is above Rs.25 crore.
- ix. Yearly Debit Balance Confirmation to be obtained
- x. Branch to carry out necessary action to rectify the Audit irregularities and send confirmation to controlling office
- xi. Yearly review of the credit facilities to be carried out and borrower to submit all requisite papers one month in advance
- xii. Stock Audit to be done as per extant guidelines.
- xiii. **Financial covenants and testing**
 - a) DER following any disbursement to not exceed the Project DER
 - b) The financial covenants shall be tested on an annual basis from the financial year in which the principal repayment commences. It should be ensured that FACR/DER/CR/TOL to TNW/DSCR are maintained as projected.



- c) Non maintenance of financial covenants will attract penal charges if sanctioned as per approval note.
- d) Bank shall compare financials submitted by the borrower to the bank with the financials submitted to ROC. Any variation shall be treated as misrepresentation to the bank.
- xiv. Book Debts beyond cover period, written off and subsequent realizations should also be deposited directly into account of our bank/consortium.
- xv. For all business loans, borrowers to submit monthly stock and book debts statements to bank.
- xvi. Bank shall carry out due diligence of stock/book debts position including visit, directly obtaining balance confirmation from debtors, appointing Stock & Book Debts audit.
- xvii. Based on Stock and Book Debt statements and monthly sales routed by the borrower, bank shall monitor cash inflows vis a vis routing through bank/consortium to ascertain diversion, if any.

11. DEFAULT AND RECOVERY

1. Prepayments of Term Loan

- i. The Borrower shall have the option to prepay the Facility in part or full within 30 days after each Reset Date(s) without payment of prepayment premium. Such prepayment shall be made by giving an irrevocable notice within 15 business days after each Reset Date.
- ii. Prepayment charges of 2% p.a shall be applicable in case the prepayment is done on any other dates.
- iii. Prepayment penalty will also be payable @ 2% in case the borrower prepays the debt by way of funds other than fresh equity or internal accruals.

2. Events of Default (EOD)

Each of the following events shall, inter alia, constitute an Event of Default

- i. Failure by the Borrower to pay any amount due and payable to banks e.g installment of term loan, servicing of interest on term loan/working capital limit.
- ii. Delay in achieving commercial operations beyond the estimated COD
- iii. The borrower ceasing or threatening to cease to carry on its business
- iv. Opening/Maintaining account with other banks without NOC from bank/consortium and/or routing cash flows through those accounts.
- v. Non-compliance of any term or condition stipulated by bank.

3. Consequences of EOD

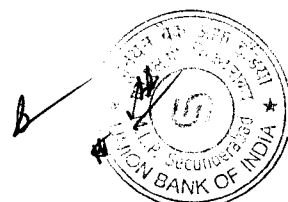
Upon the occurrence and continuance of an EOD, all amounts outstanding under the facility shall be immediately due and payable and the Bank may:

- i. Impose penalty @ 1% p.a on each default subject to maximum penalty of 2% over and above the stipulated interest rate on entire loan amount for the period of default.
- ii. Exercise powers to recall the advance and take recovery action including action under the SARFAESI Act 2002 / IBC / Other recovery and legal measures
- iii. Suspend or terminate all undrawn commitments and enforce the Security
- iv. Demand cure of the default

4. The Bank also reserves the absolute right to recall the advance in case of:

- i. Limits not being utilized by borrower, misutilised or,
- ii. Deterioration in the loan accounts in any manner whatsoever, and/or
- iii. Non-compliance of terms and conditions of sanction
- iv. Continuous excess in the cash credit/other working capital limits
- v. Unsatisfactory operations in the account

5. The Bank shall also have right to:



- i. Examine the borrower & guarantors from angle of Wilful Default & Fraud and report to RBI, Police/CBI.
- ii. Request Bureau of Immigration (BOI) through CRD, CO for issuance of Look Out Circular (LOC), if required.
- iii. Examine the role of Chartered Accountants (CA) of borrowers for reporting to ICAI and inclusion in Police/CBI complaint.
- iv. Examine the role of TPE viz. Adv, Valuer, Stock Auditor etc for reporting to IBA/Police/CBI.
- v. Take up with non-lending/non consortium banks for closure of accounts opened without NOC of the bank/consortium and transfer of available balance to the bank/consortium.
- vi. Borrowers to make all efforts for deposit of all cash inflows into designated account with bank/Consortium.
- vii. Bank reserves right to obtain direct balance confirmation from debtors of borrowers with exposure limit of 5 Crore and above annually

6. Solvency

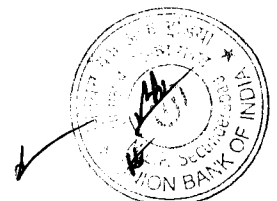
- i. The Borrower has not taken any action nor have any other steps been initiated or legal proceedings been started or threats issued against Borrower for his bankruptcy (or proceedings analogous to it) or for the appointment of a resolution professional, receiver, administrator, administrative receiver, bankruptcy trustee or similar officer of it or any of its assets or revenues in any jurisdiction(s) to which the Borrower or any of the Borrower's assets are or may be subject to including under the Insolvency and Bankruptcy Code, 2016.
- ii. The Borrower is able to pay his debts and is not insolvent or bankrupt.

1. Terms and Conditions in case of Assignment/Securitization.

1. The Borrower shall not be entitled to transfer or assign any of the Borrower's rights or obligations under this Agreement to any person directly or indirectly without the prior written consent of the Lender. This Agreement shall bind the successors of the Borrower too.
2. The Borrower further agrees that the Lender may at any time transfer, assign or novate by way of securitization, direct transfer and assignment or otherwise any of its rights, benefits or obligations under this Agreement to any party without the requirement of any further consent of the Borrower. This Agreement shall also ensure for the benefit of the successors of the Lender.
3. In case of an assignment of the entire Loan by the Lender to a bank or financial institution, even though the Interest Rate applicable to the Loan on the date of assignment vis-à-vis the assignee will be the same as was applicable vis-à-vis the Lender on such date, it will be computed with reference to the reference rate of the assignee bank/ financial institution and accordingly the spread applicable with reference thereto shall be adjusted by such assignee lender.
4. In the event of demand made by any banks or financial institution(s) from whom the Lender has obtained financial assistance, the Borrower shall pay the EMI directly to such banks / financial institutions. The Borrower(s) agrees that he shall not do or cause to be done anything which will impede the rights of such banks / financial institutions in their recovery of any dues, including the rights over the product, if any.

12. Acceptance of Terms and Conditions by Borrower

Borrower to return the second copy of the Terms and Conditions duly signed by authorized signatory/ies or guarantors. In case of Partnership firm all the partners in token of having accepted the stipulations of sanction along with the guarantors if any.



ANNEXURE-II

UNDERTAKING TO BE OBTAINED FROM ALL BORROWERS

We hereby undertake to follow the under mentioned clauses. Prior consent of the Bank would be taken if the under mentioned clauses are not followed in full or part thereof.

1. There is no legal, administrative or arbitral proceeding pending or threatened in India or any other jurisdiction regarding the effectiveness or validity of any of the licenses/ approvals or consents or the Security Documents.
2. The company/firm or the directors/ promoters/guarantors/associate concerns of the company are not on ECGC caution list/specific approval list/RBI's defaulters/caution list, COFEPOSA defaulters list or any bank's defaulters list, and that no director of the company is disqualified under section 164(2)(a) of the Companies Act, 2013.
3. We will not enter into borrowing agreements, either secured or unsecured, with any other bank or financial institution for any cost over runs beyond the projected cost as per the Financing Plan. The cost over runs if any, shall be funded by additional promoter's contribution.
4. We will not undertake any new project or expansion scheme without informing the bank unless the expenditure on such project is financed out of proceeds from investments or from long term funds received for financing such new projects or expansion
5. We will not make any material modifications to any of the Project Agreements
6. Unsecured loans from friends and relatives will be retained in the business on a long term basis during the currency of bank loan and it will be subordinated to the banks' credit.
7. Any dilution in the equity holding of promoters below controlling stake will not be resorted to without bank's consent.
8. The loan/credit facilities will be utilized for the purpose for which they are sanctioned and will not be utilized for any other purpose.
9. The loan proceeds shall not be utilized for speculative or illegal activities and does not/shall not constitute an offence of Money Laundering under The Prevention of Money Laundering Act,2002.
10. Share Application money will be converted to equity and it will not be refunded to promoters/shareholders.
11. We will keep the Bank informed of any material adverse change in condition/operations of the business/management set up/capital structure and also submit remedial steps to be taken.
12. We will maintain adequate books of accounts which will correctly reflect the financial position & scale of operations of our business. We will not radically change the accounting system without prior notice to the Bank.
13. We will exclusively bank with Union Bank of India in case of sole banking and with member banks only in case of consortium and the entire business (realization of book debts, advance payments, unsecured loans, Capital Infusion etc) will be routed through account with bank.
14. We will not make any inter firm transfer of funds except for genuine trade transactions supported by invoices.
15. Promoters will not raise loan by their equity holding in the company and equity will not be pledged without bank's prior consent.
16. We will not formulate any scheme of amalgamation or reconstruction without prior consent of the bank
17. We will not create any charge, lien, or encumbrance over the assets of the company or any part thereof in favour of any Financial Institution, Bank, Company, firm or persons except with the permission of the bank.
18. We will not undertake any guarantee obligation on behalf of any other persons except in ordinary course of business.
19. We will not sell or transfer any property or collateral security during the currency of the loan.
20. We will not invest by way of share capital or lend or place deposits with any other concern except normal trade credit or security deposit in the routine course of business or advances to employees or any other advance in the normal course of business.



21. We will not declare dividend unless company's debt servicing obligation is honored.
22. We declare that none of the directors of the company is related to directors of Union Bank of India or any other bank.
23. We will notify any change in the residence address, employment/ business or profession address and/ or contact numbers well in advance. In case an advance notice is not possible, we will inform the Bank in writing immediately, but not later than a maximum period of 7 days of such change.
24. We agree and confirm to bear all costs of making good any deficit in stamp duty and/ or all penalties thereon, on any document executed by the Borrower/s in relation to the Loan and/or security.

We hereby agree to the under mentioned rights of the bank during the currency of their assistance:

1. Withhold disbursement of the amount of loan equivalent to the provision against margin money for working capital in the cost of the project till such time as the project is near completion and the buildup of the working capital commences.
2. Review the cost for the project and means of finance anytime during implementation period of the project
3. Examine the books of accounts of the borrower and to have the project site and the securities inspected from time to time by officers of the Lenders and / or outside consultants/agencies. Reasonable expenses incurred by the bank in this regard will be borne by the Borrower.
4. Bank will have the option to down-sell the entire loan or part thereof to any other bank and the Borrower shall facilitate such down-sell. However any such transfer shall not result in additional cost for the Borrower.

Bank reserves the right to stipulate additional conditions in their absolute discretion prior to financial closure. Bank will also have the right to stipulate any additional condition, as considered necessary, upon the occurrence of any event, which may have any adverse impact on the business of the borrower.

